MCQ

1. Annual Cost Saving ₹ 4,00,000 Useful life 4 years **June 2017, SM**
Cost of the Project ₹ 11,42,000
The Pay back period would be

a) 2 years 8 months
b) 2 years 11 months
c) 3 years
d) 1 year 10 months

2. The following is not a disadvantage of pay-back period as an evaluation measure for selecting a project: **Dec 2021, SM**

a) Before the pay- back period, the mix of cash flows can be rearranged to get the same result
b) It does not consider the magnitude of cash flows after the payback period.
c) It can give a conflicting decision compared to the net present value method
d) A company that is cash-poor gauges the early recovery of funds invested.

3. Which of the following statements is/are true? **SM**

a) NPV is not useful for evaluating mutually exclusive projects.
b) The result of the NPV technique is not affected by the discount rate used.
c) Benefit-cost ratio helps in evaluating the projects which differ in initial outlays.
d) The advantage of NPV criteria is that it remains the same for all possible reinvestment rates of intermediate cash flows.

4. Terminal value of the projects' cash inflows means **SM**

a) The sum of the future cash flows after a particular period of time
b) The present value of the projects' future cash inflows
c) The sum of the reinvested values of the cash inflows up to the end of the project life
d) The sum of the reinvested values of the cash inflows up to the end of the project life minus initial outlay

5. Which of the following statements is/are true? **SM**

a) If BCR takes a value of one, it means that the NPV is positive.
b) While BCR is a ratio of present value of benefits to initial investment, the profitability index is the ratio of net present value to initial investment.
c) While BCR can take negative values, NBCR cannot take negative values.
d) BCR criteria is used to rank the projects in the order of decreasingly efficient use of capital when the capital budget is limited.

6. IRR can be viewed as **SM**

a) Desired rate of return for the investment proposed
b) Rate of return earned on the initial investment



c) The discount rate at which the capital is procured

d) Rate of return earned on the intermediate cash flows of the project

7. Which of the following techniques is the most suitable, when NPV and IRR lead to inconsistent ranking due to life disparity between two or more projects? **SM**

a) Modified Net Present Value.

b) Modified Internal Rate of Return.

c) Uniform Annual Equivalent Cost/Benefit.

d) Discounted Payback Period.

8. Given for a project:
Annual Cash inflow = ₹ 80,000, Useful life = 4 years Undiscounted Pay-Back period = 2.855 years What is the cost of the project? **June 2018, SM**

a) ₹ 1,12,084

b) ₹ 2,28,400

c) ₹ 9,13,600

d) None of the above

9. Z Ltd. invests ₹ 20 lacs in a project with life 5 years and no salvage value. Tax rate is 50% and straight line depreciation is used. The uniform expected cash flows after tax and before depreciation shield are:

Year end	1	2	3	4	5
Cash flows after tax (₹ lacs)	4	5	6	6	7

The payback period is **★ Dec 2019, SM**

a) 3 years

b) 3 years and 11 months

c) 2 years and 11 months

d) 2 years and 6 months

10. A project has a 10% discounted pay back of 2 years with annual after tax cash inflows commencing from year end 2 to 4 of ₹ 400 lacs. How much would have been the initial cash outlay which was fully made at the beginning of year 1? **★ Dec 2025, SM**

a) ₹ 400 lacs

b) ₹ 452 lacs

c) ₹ 633.80 lacs

d) ₹ 497.20 lacs

(Use p.v. factors only up to 3 decimal places.)

11. A project has a 10% discounted pay back of 2 years with annual after tax cash inflows commencing from year end 2 to 4 of ₹400 lakhs. How much would have been the total project cash outlay which was made in two installments equally at the beginning and end of year 1? **Dec 2021**

a) ₹381.81 lakhs

b) ₹347.11 lakhs

c) ₹346.15 lakhs

d) ₹330.58 lakhs

12. Initial investment of a project is Rs. 25 lakh. Expected annual cash flows are Rs. 6.5 lakh for 10 years Cost of capital is 15%. The annuity factor for 15% for 10 years is 5.019. The Profitability Index of the project will be **Dec 2018, SM**

a) 1.305 b) 3.846 c) 0.26 d) 0.7663

13. The following information is available in case of an investment proposal:
NPV at discounting rate of 10% = ₹ 1250 and NPV at discounting rate of 11% = ₹ (-) 200.



The IRR of the proposal is_____ . **SM**

a) 11.86% b) 10.86% c) 9.87% d) 11.96%

14. The Profitability Index of a project is 1.28 and its cost of investment is ₹ 2,50,000. The NPV of the project is _____. **SM**

a) ₹ 75,000
b) ₹ 80,000
c) ₹ 70,000
d) ₹ 65,000

15. From the following information calculate the MIRR of the project.
Initial Outlay ₹50,000, cost of capital 12% p.a., Life of the project 4 years, Aggregate future value of cash flows ₹1,04,896.50. **SM**

a) 20.35% b) 21.53% c) 31.25% d) 12.25%

16. The IRR of a project is 10%. If the annual cash flow after tax is ₹1,30,000 and project duration is 4 years, what is the initial investment in the project? **SM**

a) ₹ 4,10,000
b) ₹ 4,12,100
c) ₹ 3,90,000
d) ₹ 4,05,000

17. The NPV of a 4-year project is ₹ 220 lakh and PVIFA at 12% for 4 years is 3.037. The Equivalent Annual Benefit of the project is __ **SM**

a) ₹ 72.43 lakh
b) ₹ 94.74lakh
c) ₹ 66.96 lakh
d) ₹ 76.65 lakh

18. The following is true in a capital budgeting exercise with discounted cash flow technique: **Dec 2021, SM**

a) When there is capital rationing, Net Present Value is better than the Internal Rate of Return.
b) The Net Present Value highlights the significant minus cash flows occurring between the inflows when the incomes are being generated more than the Internal Rate of Return.
c) When there are mutually exclusive proposals of different scales, the Internal Rate of Return is better than the NPV.
d) The internal rate of return assumes that the cash flows are reinvested at the required rate of return.

19. A company has ₹ 7 crore available for investment. It has evaluated its options and has found that only four investment projects given below have positive NPV. All these investments are divisible and get proportional NPVs.

Project	Initial Investment (₹ crore)	NPV (₹ crore)	PI
W	6.00	1.80	1.30
X	3.00	0.60	1.20
Y	2.00	0.50	1.25
Z	2.50	1.50	1.60

Which investment projects should be selected? **June 2018, SM**

a) Project W in full and X in part
b) Project Z in full and W in part
c) Project W in full and Z in part
d) Project Z and Y in full and X in part



20. The initial outlay for a equipment of RAGIN Ltd. is 10,00,000. It is estimated that this will generate cash in flows of ₹ 3,40,000 per annum for 4 years. The Cost of Capital of the Company is 5 per cent. (Ignore Taxes).
By how much can the Annual Cash in flows change before the Company becomes indifferent to the Project?
[Given: PVI FA (5%, 4 years) = 3-546]
[Present Calculation to nearest rupees] **Dec 2022**

a) 57,992
b) ₹60,125
c) 61,310
d) None of the above

21. Duhita Ltd. intends to buy an equipment. Quotes are obtained for two different makes A and B as given below:

	Cost (₹ Million)	Estimate life (years)
A	4.5	10
B	6.00	15

Ignoring the operations and maintenance costs which will be almost the same for A and B, which one would be chapter? The company's cost of capital is 10%
[Given: PVIFA (10%, 10 yrs.) = 6.1446 and PVIFA (10%, 15 years) = 7.6061] **June 2018, SM**

a) A will be cheaper
b) B will be cheaper
c) Cost will be the same
d) They are not comparable and therefore nothing can be said about which is cheaper.

22. A project is expected to yield an after tax cash inflow at the end of year 2 of ₹ 150 lacs and has a cost of capital of 10%. Inflation is expected at 3% p.a. While computing the NPV of t the project, this cash flow will be taken as the following: **Dec 2017, SM**

a) $\frac{\frac{150}{1.03}}{(1.1)^2}$
b) $\frac{\frac{150}{(1.03)^2}}{(1.1)^2}$
c) $\frac{150}{(111.33\%)^2}$
d) $\frac{150(1.03)^2}{(1.11)^2}$

23. M uses 12% as nominal required rate of return to evaluate its new investment projects. It has recently been decided to protect shareholders' interest against loss of purchasing power due to inflation. If the expected inflation rate is 5%, the real discount rate will be **Dec 2019, SM**

a) 6.67%
b) 6%
c) 17.6%
d) 7%

24. RTZ Ltd. wishes to earn real rate of 10% from its project. When the inflation recorded is 7%, what is the normal rate the company would earn? ★ **Dec 2023**

a) 16.60%
b) 17.70%
c) 18.20%
d) None of the above

25. ZOTSON Plc. has been evaluating investment in a project which will require 39 lakh capital expenditure on a new machinery. The company expects the capital investment to provide annual cash flows of 6 lakh per year after taxes indefinitely. The discount rate, which it applies to invest decisions of this nature, is 14 per cent net. What will be the Base Case NPV for ZOTSON Plc.'s project? (Calculation upto two decimal points.) **June 2023**

a) ₹4.00 lakh
b) ₹3.86 lakh
c) ₹3.56 lakh
d) ₹3.25 lakh

26. NOBON Ltd., has been evaluating investment in a project which will require 40 lakh capital expenditure on a new machinery. The Company expects the capital investment to provide annual Cash flows of 9 lakh per year after taxes indefinitely. The business risk of the investment decision requires a 15 per cent discount rate. The base case NPV for NOBON Lid's project will be **Dec 2023**

a) ₹25 lakh
b) ₹20 lakh
c) ₹18.50 lakh
d) None of the above

27. A project of ROBN Ltd. has a Net Present Value (base case NPV) of 1,50,000. This project has one financial side effect; it expands the firm's borrowing power by ₹ 5,00,000. The project lasts indefinitely so it is treated as supporting perpetual debt. If the borrowing rate is 10 per cent and the net tax-shield is 35 per cent, the Adjusted Net Present Value (ANPV) of the project will be **Dec 2022, Dec2023**

a) 3,25,000
b) ₹3,10,000
c) 2,88,000
d) None of the above

28. A project of Axon Ltd. requires 30 lakh capital investment and expects perpetual annual cash inflow after taxes of 8 lakh. The business risk of the venture requires a 20 per cent discount rate. However, as the project is considered socially desirable it qualifies for an immediate tax-free Government grant of 10 lakh. What will be the Adjusted Net Present Value (ANPV) of the project? ★ **June 2023**

a) 25 lakh
b) 20 lakh
c) 15 lakh
d) Insufficient information

29. GINSP Ltd. invested 36 crore in its recent Project GZ. The company expects a uniform cash inflows of 12 crore for 5 years from this Project GZ. The cost of capital of the company is 12%. The Modified NPV (MNPV) of this Project GZ is 8.123 crore. What will be the reinvestment rate applicable to the cash inflows expected to be generated by this Project GZ? (Calculation to be rounded off to 3 decimals).
[Given: PVI Factor/FVI (Future Value Interest) Factors.] **Dec 2024**

Interest (r)	11%	12%	13%	14%
PVIF (5 Yrs.)	0.5934	0.5674	0.5428	0.5194
FVIFA (5 Yrs.)	6.228	6.353	6.480	6.610



a) 13%
b) 12%
c) 14%
d) None of the above

30. ROXIN Ltd. is contemplating an investment project RZ of 5 years with an initial outlay of30 crore. The company expects a uniform cash inflow of10 crore for five years from this project. The expected rate at which the said cash flows will be reinvested is 12%. If the cost of capital for the company is 10%, what will be the Modified Net Present Value (MNPV) of the project RZ? [Given: PVI Factors/FVI Factors] **June 2025**

Interest Rate (R)	10%	11%	12%
PVIF (5 yrs.)	0.6209	0.5934	0.5674
FVIFA (5 yrs.)	6.1051	6.2278	6.3528

a) 9.445 crore
b) 7.907 crore
c) 6.605 crore
d) None of the above

31. A Project of ZOBM Ltd. requires an initial investment of 100 Lakh and generates annual Cash inflows of 29.85 Lakh for five years. If the risk-free rate of discount is 10% and the premium for the normal risk of the Company is 3%, what is the maximum premium for abnormal risk that can be earned on this project (using IRR method) ?
[Given: PVIFA (13% 5 yrs.) = 3.52 , PVIFA (14%, 5 yrs.) = 3.43 and PVIFA (15\%, 5yrs .) =3.35] **June 2024**

a) 0%
b) 2%
c) 4%
d) None of (A), (B) and (C)

32. In Porter's structural analysis, which of the following is not considered as an entry barrier? **Dec 2023**

a) Product differentiation
b) Switching costs
c) Capital requirements
d) Low value addition

33. If the cost of an investment is ₹ 25,000 and it results in a net cash inflow of ₹1,800 per annum forever, the Net Profitability Index of the investment is _(assume a discount rate of 8%) **SM**

a) 0.9 b) (-) 0.1 c) 1.11 d) 0.8

34. A project has the following cash flows: If discount rate is 20%, then the NPV of the project is____ **SM**

a) 11.75 b) 12.34 c) 12.74 d) 11.50

35. A project with an initial investment of ₹100 lakhs and life of 10 years generates cash flows after tax (CFAT) of ₹20 lakh per annum. The Payback Reciprocal is _____. **SM**

a) 25% b) 20% c) 10% d) 30%

36. For an investment project, the following information is available. Annual Cost Savings = ₹4,00,000; IRR = 15%; Useful life = 4 years; PVIFA (15%, 4) = 2.85. Initial investment = ₹1,14,000, The Discounted Payback Period is ___ **SM**

a) 2.85 years
b) 2.89 years

c) 3.54 years

d) 2.95 years

37. If Annual CFAT is ₹ 5,40,000, Project life is 4 years and initial cost is ₹ 19,80,000, what is the Payback Profitability of the project? **SM**

a) ₹ 1,60,000

b) ₹ 1,95,000

c) ₹ 1,80,000

d) ₹ 1,20,000

Answers

1	2	3	4	5	6	7	8	9	10
b	d	c	c	d	b	c	b	b	b
11	12	13	14	15	16	17	18	19	20
c	a	b	c	a	b	a	a	b	a
21	22	23	24	25	26	27	28	29	30
a	b	a	b	b	b	a	b	a	a
31	32	33	34	35	36	37			
b	d	a	c	b	a	c			



MCQ

1. P and Q are two mutually exclusive projects. P has a higher initial fixed cost and will make a profit of 10,000 for a high sales volume and a loss of ₹ 4,000 for a low sales volume. For Q. the corresponding amounts would be a profit of ₹7,000 or a profit of 2,000. The probability of high sales volume is 60%. The expected value of perfect information is **Dec 2023**

a) ₹9,000 b) ₹6,800 c) ₹12,600 d) ₹10,200

2. There are 4 investments

	X	Y	Z	U
The standard deviation is	37,947	44,497	42,163	41,997
Expected net present value (₹)	90,000	1,06,000	1,00,000	90,000

Which investment has the highest risk? **June 2017**

a) X b) Y c) X d) U

3. A company is considering four projects A, B, C and D with the following information:

	Project A	Project B	Project C	Project D
Expected NPV (₹)	60,000	80,000	70,000	90,000
Standard deviation (₹)	4,000	10,000	12,000	14,000

Which project will fit the requirement of low risk apetite? **June2019, SM**

a) Project A
b) Project B
c) Project C
d) Project D

4. The following information of a project are given below:

Expected cash flow (₹)	Probability
6,000	0.20
16,000	0.80

If certainty equivalent coefficient is 0.7, what will be certain (Risk less) cash flows of the project? **June 2019**

a) ₹ 12,000 b) ₹ 9,800 c) ₹ 9,000 d) ₹ 15,400

5. The following information is extracted from the Project of PAM Ltd.:

Expected Cash Flow (₹)	Probability
10,000	0.70
20,000	0.30

Amount in lieu of Expected Cash Flow = ₹ 12,000.
The certainty equivalent co-efficient is **Dec 2025**

a) 1.083
b) 1.00
c) 0.920
d) None of the above

6. The project-Z of ZINT Ltd. has a mean NPV of 600. The Project Manager of the Company wants to determine the probability of the NPV of the project under



different ranges. If the Standard Deviation of NPV is 300, what is the probability of the NPV between the range of 375 and 675?

[Given: Area under Normal Curve from O to Z]: **June 2023**

Z-Oto Z	0.15	0.25	0.50	0.60	0.75	1.25	1.30
Value	0.05962	0.09871	0.19146	0.22575	0.27337	0.09435	0.40320

a) 27.34% b) 37.21% c) 40.13% d) 44.04%

7. SBT company is considering four projects P, Q, R and T with the following information:

	Project A	Project B	Project C	Project D
Expected NPV (₹)	1,20,000	1,60,000	1,40,000	1,80,000
Standard Deviation (₹)	8,000	20,000	24,000	28,000

Identify the Least Risky Project if coefficient of variation is used: **June 2023**

a) Project P b) Project Q c) Project R d) Project T

8. SANTIKA Project has a mean value of ₹ 11,700. The management wants to determine the Probability of the NPV of the Project under different ranges. If the Standard Deviation (SD) of the Project is ₹ 6,000, what will be the probability of NPV between ₹7,200 and ₹ 13,200?

[Given: Area under Standard Normal Curve] **June 2024**

Z= O TO Z=	0.10	0.25	0.50	0.60	0.75	1.00	1.25	1.50
Table Value	0.0398	0.0987	0.1915	0.2257	0.2734	0.413	0.3944	0.4332

a) 17.47%
b) 22.55%
c) 37.21%
d) None of the above

9. If the cash flows over the life of the project are perfectly correlated, the Standard Deviation is determined using the formula _____. **SM**

a) SD = $\frac{\sum \sigma^2}{(1+i)^2}$
b) SD = $\frac{\sum \sigma}{(1+i)^2}$
c) SD = $\frac{\sum \sigma^2}{(1+i)}$
d) SD = $\sum \frac{\sigma_t}{(1+i)^t}$

10. Which of the following is/are not true regarding the risk adjusted investment appraisal techniques?

(i) In the certainty equivalent method, if there is high degree of correlation between the cash flows for the entire project life the certainty equivalent coefficient is taken as one for all the years.

(ii) In sensitivity analysis, the impact of the changes in one or more variables on the criterion of merit is studied.

(iii) Simulation does not produce an optimal solution but the user of the technique has to generate all possible combinations of conditions and constraints to choose the optimal solution. **SM**



a) Only (ii) above.
b) Only (iii) above.
c) Both (i) and (ii) above
d) Both (i) and (iii) above

11. Coefficient of variation **SM**

a) Is an absolute measure of risk
b) Is a relative measure of risk
c) Is given by mean expected return by standard deviation
d) Is given by the product of mean expected return and standard deviation

12. If nominal discounting rate is 15%, inflation rate is 5%, then real discounting rate will be _____ **SM**

a) 9.52% b) 9.25% c) 10.25% d) 10.52%

13. If project cost = ₹ 12,000, Annual cash flow = ₹ 4,500 Cost of capital = 14%, life = 4 years, PVIFA (14%, 4) = 2.9137, then the sensitivity with respect to the project cost is **Dec 2025, SM**

a) 9.27% b) 10.27% c) 9.72% d) 10.72%

14. The following information is available with respect to Project X

NPV Estimate (₹)	30,000	60,000	1,20,000	1,50,000
Probability	0.1	0.4	0.4	0.1

The expected NPV will be _____ **SM**

a) ₹ 1,00,000
b) ₹75,000
c) ₹90,000
d) ₹1,20,000

15. If expected NPV = ₹ 1,20,000 and S.D = ₹30,000, then coefficient of variation will be _____. **SM**

a) 25% b) 20% c) 30% d) 50%

16. Given, expected value of profit without perfect information = ₹1,600 and expected value of perfect information = ₹300, then expected value of profit with perfect information will be _____. **SM**

a) ₹1,300
b) ₹1,900
c) ₹950
d) None of the above

Answers

1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
b	d	a	b	c	b	a	c	d	c	d	a	a	c	a	b



MCQ

1. The major advantage of leasing is that it **SM**
   a) provides flexible financing
   b) provides lower payments
   c) avoids risks of obsolescence.
   d) All of the above

2. A finance lease is an agreement between an owner of an asset and a user of that asset wherein the: **SM**
   a) usual risks and benefits of ownership are transferred to the user;
   b) legal title to property is transferred to the lessee when the first lease payment is made;
   c) ownership passes to the lessor on inception date of the lease;
   d) substantially all of the risks and benefits of ownership remain with the lessor.

3. A way to analyse whether debt or lease financing would be preferable is to: **SM**
   a) compare the net present values under each alternative, using the cost of capital as the discount rate.
   b) compare the net present values under each alternative, using the after-tax cost of borrowing as the discount rate.
   c) compare the payback periods for each alternative.
   d) compare the effective interest costs involved for each alternative.

4. Which of following clearly define the Leasing services? **SM**
   a) One party agrees to rent property owned by another party
   b) It guarantees the lessee, also known as the tenant, use of the asset
   c) It guarantees the lessor, regular payments from the lease
   d) All of the above.

5. The type of lease that includes a third party, a lender, is called as which of the following? **SM**
   a) Sale and leaseback
   b) Leveraged Lease
   c) Direct leasing arrangement
   d) Operating lease

Answers

1	2	3	4	5
d	a	b	d	b



MCQ

1. The concept of securitization is associated with **June 2024, SM**
   a) Capital Market
   b) Money Market
   c) Debt Market
   d) Foreign Exchange Market

2. In securitization who is the issue of securities? **SM**
   a) SPV
   b) Underwriter
   c) Depositer
   d) Insurer

3. Under "securitisation process", the bank or financial institution which gives loan is known as; **SM**
   a) SPV
   b) Obligor
   c) Originator
   d) Credit enhancer

4. Under "securitisation process", _____ are instruments which issued subsidiary company in respect of receivables of holding or parent company **Dec 2025, SM**
   a) Pass through certificate
   b) Pay through certificate
   c) Preferred stock certificate
   d) None of these

5. Under "securitisation process", original borrower is known as; **SM**
   a) SPV
   b) Obligor
   c) Originator
   d) Credit enhancer

6. _____ certificate under securitisation have multiple maturity structure. **SM**
   a) Pass through certificate
   b) Pay through certificate
   c) Preferred stock certificate
   d) Interest only certificate

Answers

1	2	3	4	5	6
c	a	c	c	b	b



MCQ

1. A buy signal provided by moving average analysis of stock prices is when the stock price line **Jun 2025, Dec 2021**

a) Rises above a falling moving average line
b) Falls below a flattening moving average line
c) Falls below a falling moving average line
d) Falls below a rising moving average line

2. If the director of COMTECH Ltd. who has access to inside information is unable to use this information to make Supernormal Profits, it is a sign of **Dec 2023**

a) Weak form of Efficient Market hypothesis.
b) Semi-strong form of Efficient Market hypothesis.
c) Strong form of Efficient Market hypothesis.
d) Incompetence of the Director.

3. _____ is the study and analysis of Security Price Movements on the following assumptions.
There is a basic Trend in the Share Price Movements.
Such Trend is repetitive.
Share prices have little relationship with Intrinsic value and are based more on investor psychology and perception. **Dec 2024**

a) Fundamental analysis
b) Technical analysis
c) Economic analysis, Industry analysis
d) Company analysis.

4. An Event Study is a test of which form of Efficient Market Hypothesis?
i. Weak form of Efficient Market Hypothesis
ii. Semi-strong form of Efficient Market Hypothesis
iii. Strong form of Efficient Market Hypothesis **Jun 2025, Dec 2024**

a) Only (1) of the above
b) Only (II) of the above
c) Both (1) and (II) of the above
d) Only (III) of the above.

5. If conclusion and opinions of equity analysts and other experts, based on publicly available information are reflected in stock prices, then stock market exhibits **Jun 2024**

a) Weak form of efficiency
b) Semi- strong form of efficiency
c) Inefficiency
d) Both (A) and (B) above

6. The price-earnings ratio of a stock reflects the **SM**

a) Growth of the company
b) Market mood for the company stock
c) Earnings retained and invested in the company
d) Dividend paid out for the company's stock

7. The growth in book value per share shows the **SM**

a) Rise in the share price
b) Increase in the physical assets of the firm
c) Increase in the net worth
d) Growth in reserves

8. Which of the following is not a component of ROE analysis? **SM**

a) Pre-tax margin
b) Asset turnover ratio
c) Effective tax rate
d) Dividend payout ratios

9. Which of the following does not form a part of company analysis? **SM**

a) A trend analysis of the company's market share
b) Life cycle analysis of the industry
c) Leverage and coverage ratio analysis
d) Cost structure and break even analysis

10. An industry in the growth stage of its life cycle is indicated by **SM**

a) High P/E ratios
b) High dividend payout ratios
c) High dividend yield
d) High investment in R&D

11. Degree of financial leverage (DFL) expresses the relationship between **SM**

a) EPS and EAIT
b) EPS and P/E
c) EPS and EBIT
d) EPS and Sales

12. Liquidity of a company generally measures **SM**

a) The ability of a company to pay its employees in a timely manner
b) The ability to pay interest and principal on all debt
c) The ability to pay dividends
d) The ability to pay current liabilities

13. A common stock ratio **SM**

a) Is directly related to the company's growth rate
b) Can be zero for a growth firm
c) Measures the earnings of a share as a percentage of its market price
d) Indicates the future cash dividends to be expected

14. An industry may have short life due to **SM**

a) Legal restrictions
b) Evolution of replacement industry which diminishes the demand for the original industry
c) Coming into force of a newer technology which makes the existing one unviable from operating costs point of view
d) All of the above.

15. Competition in an industry is generally affected by the **SM**



a) Ease with which the new entrants can enter
b) Relationship among the existing players
c) Bargaining power of buyers and suppliers
d) All of the above

16. High growth rates in earnings and market share are characteristics of companies which are in **SM**
a) Maturity stage
b) Expansion stage
c) Pioneering stage
d) Declining stage

17. Companies in maturity stage are characterized by **SM**
a) High dividend payout ratios
b) Fluctuation in earnings
c) Presence of new investment opportunities
d) All of the above

18. Which of the following can be classified as a lag indicator of economic growth? **SM**
a) Ratio of trade inventories to sales
b) Manufacture and trade sales
c) Orders for plant and equipment
d) Business confidence index

19. In Porter's structural analysis, which of the following is not considered as an entry barrier? **SM**
a) Product differentiation
b) Switching costs
c) Capital requirements
d) Low value addition

20. According to Porter's model, the rivalry among existing competitors will be high if **SM**
a) There are diverse competitors
b) There are equally balanced competitors
c) The industry growth is high
d) None of the above

21. A business division with high growth but low relative market share is referred to as a **SM**
a) Cash cow
b) Profit center
c) Question mark
d) Star

22. An industry in the expansion stage of its life cycle in indicated by **SM**
a) High P/E ratios
b) High dividend pay-out ratios
c) High dividend yield
d) All of the above

23. In the bull market **SM**
a) The stock prices are increasing
b) Each peak is higher than the previous peak
c) Each bottom is higher than the previous bottom
d) Both (b) and (c)

24. The declining market is called 'bear market' because of the **SM**

a) Long hibernation period of bears
b) Traditional usage
c) Fur coat of the bears
d) Attacking manner of bears

25. Dow theory was developed to explain the **SM**
a) New York stock market movements
b) Dow Jones industrial averages
c) Security market price movements
d) Buy and sell strategy

26. According to stock market psychology **SM**
a) Investors forget the past
b) History repeats itself
c) More faith is placed in predictions of the future
d) Both (a) and (b)

27. Violation of a trend line means **SM**
a) Moving away from the trend line
b) Changing its direction
c) Penetration of the trend line
d) Cutting the rising trend line from above

28. The chartist believes that charts **SM**
a) Spot the current trend for buying and selling
b) Indicate the future action to be taken
c) Shows historical movements
d) All of the above

29. The stock price in the stock market **SM**
a) Hovers around the support level or resistance level
b) Moves between the same support and resistance levels
c) Moves between the changing support and resistance level
d) Both (a) and (b)

30. A company has an ROE of 0.24 and book value of ₹25.38. the EPS for this company is **SM**
a) 6.09 b) 7.25 c) 6.94 d) 6.13

31. If ROA is 0.195 and the leverage factor of 1.38, the ROE of the company is **SM**
a) 0.279 b) 0.283 c) 0.254 d) 0.269

32. It was observed that in a certain month, 6 out of 10 leading indicators and moved up as compared to 4 indicators in the previous month. The diffusion index for the months was **SM**
a) 20% b) 40% c) 60% d) 80%



Answers

1	2	3	4	5	6	7	8	9	10	11	12
d	c	b	b	b	b	d	d	b	a	c	d
13	14	15	16	17	18	19	20	21	22	23	24
b	d	d	c	a	b	d	b	c	a	d	d
25	26	27	28	29	30	31	32				
b	b	c	d	c	a	d	c				



MCQ

1. The constant growth dividend discount model will not produce a finite value for a stock if the dividend growth rate is **SM**
   a) Above its historical average
   b) Below its historical average
   c) Equal to the historical average
   d) Above the required rate of return of the stock

2. In a constant dividend model, the following estimates the difference between the required rate of return and the growth rate : **Dec 2018**
   a) Earnings Retention ratio
   b) Leverage ratio
   c) Dividend Pay-out ratio
   d) Dividend yield ratio

3. A stock of ₹10 face value has declared 35% dividend for the current year. The stock is currently selling for ₹40. What Is the dividedly yield? **SM**
   a) 35%
   b) 8.75%
   c) 7.0%
   d) 8.25%

4. According to the constant growth model, the next year's dividend is ₹2.00, required rate of return is 15% and the growth rate is 10%, the market price would be **SM**
   a) ₹ 50
   b) ₹ 45
   c) ₹ 40
   d) ₹ 48

5. The current price is ₹100, the required rate of return is 20% and the dividend paid ₹3.00 on a share of ₹10 face value. What is the expected growth rate? **SM**
   a) 15%
   b) 16%
   c) 18%
   d) 17%

6. The current dividend, market price and the annual dividend growth rate of a company are ₹2.50 per share, ₹50 per share and 5%, respectively. The capitalization rate of the equity will be **June 2025, SM**
   a) 0.0526
   b) 0.10
   c) 0.1050
   d) 0.1025

7. MON Ltd. is expected to grow at the rate of 8% per annum, which currently pay 10 as dividend. For investment at the risk level, investor requires a return of 15% a year. What is the estimated value of the stock? **Dec 2024**
   a) 10.50
   b) 154.29
   c) 166.61
   d) None of the above

8. Which among the following is/are the determination of price - earnings ratio? **SM**
   a) Dividend payout ratio
   b) Growth rate in dividends
   c) Required rate of return
   d) All of (a), (b) and (c) above



9. A stock with a dividend pay-out ratio of 45%, required rate of return is 15% and a constant growth rate of 10% will have a P/E ratio of **SM**

a) 3 times
c) 8 times
b) 9 times
d) 7.5 times

10. A company with PAT of ₹ 40 Lakh, tax rate of 50%, RONW of 100%, reserves of ₹ 30 lakh and a par value ₹5 will have pre-tax EPS of **SM**

a) ₹ 4.00
c) ₹ 36.00
b) ₹ 40.00
d) ₹ 42.00

11. EZAN Ltd. has an ROE of 18% and a ploughback ratio of 50%. The Market Capitalization rate is 13%. If the Coming year's earnings are expected to be 4 per share, at what price EZAN's share should sell in 3 years? **June 2024**

a) ₹75.10
c) 60.50
b) 64.75
d) None of the above

12. ABON Ltd.'s earning per share is 15 and growth rate of earning is 5%. The earnings growth rate is expected to stay at this level in the near future. If its payout ratio is 50% and costs of capital is 15%, what will be the market price of the share after three years? (Calculation upto two decimal places) **Dec 2023**

a) ₹95.50
c) ₹90.20
b) 91.16
d) None of the above

13. By investing in bonds, a trader is subjecting himself to the following risks: **SM**

a) Interest rate risk
c) Reinvestment risk
b) Default risk
d) All of the above

14. A ₹ 1,000 per value bond bearing a coupon rate of 14% matures after 5 years. The required rate of return on this bond is 10%. The value of the bond (to the nearest rupee) will be: **Dec 2017**

a) 1,125
b) 1,132
c) 1,512
d) 862.20

15. A Ltd. has 1 million AAA rated 12% bonds outstanding, maturity in 7 years from now. If the market interest rate is 14%, the price of the bond is (assume FV ₹100) and coupons are payable annually **Dec 2025, SM**

a) 90.00
b) 91.46
c) 93.00
d) 94.00

16. A 20-year maturity bond with a par value ₹1,000 makes semi-annual payments at a coupon rate of 8%. The YTM is 9%. How much should you pay for the bond? **SM**

a) ₹1080
b) ₹1000
c) ₹908
d) ₹966

17. A bond of RIZO Ltd., with a face value of ₹ 1000 provides 12% annual return and pays ₹ 1050 at the time of maturity, which is 10 years from now. If the investor required rate of return is 13%, at which price should the company issue the bond? **June 2025**



a) ₹ 309.75
b) ₹ 651.12
c) ₹ 960.87
d) ₹ 970.00

18. Coupon yield of the bond is **SM**
a) The discounted value of the bond
b) Coupon payment stated as a percentage of a bond's features
c) Coupon payment stated as a percentage of a bond's present price
d) Both (a) and (b)

19. A bond with a par value of ₹1,000 has a 6% annual coupon rate. Interest is paid semi-annually and the price of the bond is ₹1,025. what is the current yield? **SM**
a) 3.0% b) 2.9% c) 6.2% d) 5.9%

20. Yield to maturity is same as **SM**
a) NPV
b) IRR
c) Geometric mean
d) Both (b) and (c)

21. If a bondholder is to receive the stated yield to maturity, he has to invest the interim cash flow at **SM**
a) Existing interest rates
b) Coupon rate
c) Stated YTM
d) Current yield

22. The definition "the promised compounded rate of return an investor will receive from a bond purchased at the current market price and held to maturity" pertains to **SM**
a) Yield to maturity
b) Realized yield
c) Current yield
d) Yield to call

23. A semi-annual coupon bond is currently selling for ₹1,142.12. The bond has a maturity of 10 years, a par value of ₹1,000 and a 9% coupon rate. What is the yield to maturity **SM**
a) 3.5% b) 7.0% c) 7.5% d) 9.0%

24. If the YTM on a one-year GOI bond and a two-year GOI bonds are 7.97% and 8.86%, respectively then the implicit one-year forward rate at the end of year 1 is **SM**
a) 8.09% b) 9.23% c) 9.66% **d) 9.76%**

25. Bond volatility is inversely related to **SM**
a) Term to maturity
b) Yield to maturity
c) Coupon rate
d) Both (b) and (c)

26. All other things being equal, which one of the following bonds will have the maximum volatility? **SM**
a) 15 year, 15% coupon bond
b) 5 year, 10% coupon bond
c) 15 year, 10% coupon bond
d) 5 year, 15% coupon bond



27. You just purchased a 10-year maturity, semi-annual coupon bond for ₹1,148.77 (face value ₹1,000), a coupon rate of 8% and a yield to maturity 6%. The bond is callable in four years at ₹1,080. what is the yield to call? **SM**

a) 5.6% b) 6.0% c) 7.2% d) 8.0%

[Hints: n = 8; call price = ₹1080; semi-annual interest payment will be ₹40. spreadsheet or calculator entries will be N = 8; PV = -1148.77; PMT = 40, FV = 1080, CPT 1/Y 2.80. the annual yield to call = 2.80 × 2 = 5.60%]

28. One year ago, you purchased an annual coupon bond for ₹817.84. At that time the bond had a maturity of 15 years, a face value of ₹1,000, a coupon rate of 5% and a yield to maturity of 7%. One year later, the yield to maturity increased to 7.5%. what is the total rate of return for the year? **SM**

a) 9.79% b) 2.44% c) 7.50% d) 3.75

29. Default risk is nil in: **SM**

a) Treasury bills
b) IDBI bonds
c) ICICI bonds
d) Reliance bond

30. Mr. X expects 20% return from his investment. The dividend from the stock is ₹2.0 and the present price is ₹50. What should be the future price of the stock? **SM**

a) ₹ 56.39 b) ₹ 58.00 c) ₹ 60.00 d) ₹ 62.3

31. 'Bank rate' published by the Reserve Bank refers to **Dec 2018**

a) The repo rate transacted by RBI.
b) The rate at which housing or other long term loans shall be sanctioned by scheduled banks to their customers.
c) The rate at which RBI is willing to buy or rediscount bills of exchange or other commercial paper.
d) The rate which RBI uses as cut-off for auction of Government securities.

32. An instrument of debt having investment grade rating by a credit rating agency **June 2023**

a) Implies that the investment is safe and recommends that the investor can go head and invest in security.
b) Implies that all statutory compliances of the issuing entry are fulfilled.
c) Implies that the investment is sound at the time of issue and the issue price is reasonable.
d) Implies an opinion of the rating agency that the instrument will pay back the capital and the stated interest on time



Answers

1	2	3	4	5	6	7	8	9	10	11	12
c	d	b	c	d	d	b	d	b	b	b	b
13	14	15	16	17	18	19	20	21	22	23	24
d	b	b	c	c	c	d	d	c	a	b	d
25	26	27	28	29	30	31	32				
d	c	a	b	a	b	c	d				



MCQ

1. The object of portfolio is to reduce by diversification **SM**
   a) Return
   b) Risk
   c) Uncertainty
   d) Percentage

2. A combination of various investment products like bonds, shares, securities, mutual funds and so on is called as **SM**
   a) Portfolio
   b) Investment
   c) Speculation
   d) Gambling

3. The probability distribution of security N is given below:

Probability	Return (%)
0.30	30
0.40	20
0.30	10

The risk of the return of the security will be around **Dec 2019, SM**
a) 60% b) 8% c) 20% d) 24%

4. Which of the following is true regarding the expected return of a portfolio? **SM**
   a) It is a weighted average only for stock portfolios
   b) It can only be positive
   c) It can never be above the highest individual return
   d) All of the above are true.

5. In order to determine the except return of a portfolio, all of the following must be known expect . **SM**
   a) Probabilities of expected returns of individual assets
   b) Weight of each individual asset to total portfolio value
   c) Expected return of each individual asset
   d) All of the above must be known in order to determine the expected return of a portfolio.

6. MS. SAKALI, a prospective investor, has collected the following information pertaining to two securities as under:

Security Return (%)	Standard (%)	Deviation (%)
Gilt-edged Security	7	0
Equity	25	30

Using the above two securities, if Ms. Sakali is planning to invest ₹ 5,00,000 to construct a portfolio with a standard deviation of 24%, the return on such portfolio is **SM**

   a) ₹ 1,10,000
   b) ₹ 1,07,000
   c) ₹ 99,000
   d) ₹ 1,08,200



7. A statistical measure of the Degree to which two variables move together **SM**

a) Coefficient of variation
b) Variance
c) Covariance
d) Certainty equivalent

8. For a portfolio containing three securities A, B and C, correlation coefficients ρAB = +0.4; ρAC = +0.75; ρBC = - 0.4; standard deviation σA = 9; σB = 11; σC = 6; weights ωA = 0.2; ωB = 0.5; ωC = 0.3; the covariance of securities A and B is **SM**

a) 3.96 b) 24.75 c) 39.6 d) 247.5

9. _____is concerned with the interrelationships between security returns. **SM**

a) Random diversification
b) Correlating diversification
c) Friedman diversification
d) Markowitz diversification

10. A portfolio having two risky securities can be turned risk less if **SM**

a) The securities are completely positively correlated
b) If the correlation ranges between zero and one
c) The securities are completely negatively correlated
d) None of the above

11. The following statement is true: (If 'r' denotes the correlation coefficient) **June 2017, SM**

a) r = +1 implies full diversification of securities in a portfolio
b) r = -1 implies full diversification of securities in a portfolio
c) r = 0 implies an ideal situation of zero risk
d) 'r' is independent of diversification. Nothing can be inferred based on r.

12.

Portfolio	E(ri)	Rish (βi)
X	10.0	0.95
Y	13.5	1.15
M	17.0	1.00

From the above data it is obvious that **SM**

a) Portfolio Y offers disproportionate return to the underlying risk.
b) Portfolio M offers disproportionate return to the underlying risk.
c) Portfolio X is fully diversified
d) Portfolio X is a market portfolio

13. Consider the following information regarding of X Ltd. and Y Ltd.

Stock	Return	Variance	Weight of the Portfolio
X Ltd.	14%	441%	0.6

Y Ltd.	11%	256%	0.4

If the variance of the portfolio is 122, what is the coefficient of correlation between the stocks approximately? **SM**

a) 0.45 b) –0.48 c) 0.56 d) 0.67

14. If you invest 60% of your money in B Ltd. and 40% in T Ltd.. Assume that the standard deviation of B Ltd. is 80% and standard deviation of T Ltd. is 30%. The correlation coefficient between B Ltd. and T Ltd. is 0.2. What is the standard deviation of the portfolio? **SM**

a) 41.33% b) 49.50% c) 51.75% d) 54.34%

15. Risk of two securities with different expected return can be compared with **SM**

a) Coefficient of variation
b) Standard deviation of securities
c) Variance of securities
d) None of the above

16. A measure of risk per unit of expected return **SM**

a) Standard deviation
b) Coefficient of variation
c) Correlation coefficient
d) Beta

17. Securities A and B have a standard deviation of 10% and 15% respectively. The respective average returns are 12% and 20%. Investor X has limited funds. Which is safer security for investment? **SM**

a) A is more secured.
b) B is more secured.
c) Both A & B are equally secured.
d) Incomplete information

18. MS PARNA is planning to construct a minimum risk portfolio by investing in the Shares of NAB Ltd., and SAN Ltd. The risk associated with the return of NAB Ltd. and SAN Ltd. are 23% and 25% respectively. If the co-variance between the returns of Shares of both companies is 0 (zero), the proportion of funds to be invested in the Shares of NAB Ltd. will be: **Dec 2022**

a) 45.84%
b) 54.16%
c) 66.67%
d) None of the above

19. Efficient portfolios can be defined as those portfolios which for a given level of risk provides **SM**

a) Maximum return
b) Average return
c) Minimum return
d) None of the above

20. The Markowitz model identifies the efficient set of portfolios, which offers the. **SM**

a) Highest return for any given level of risk or the lowest risk for any given level of return.
b) Least-risk portfolio for a conservative, middle-aged investor



c) Long-run approach to wealth accumulation for a young investor
d) Risk-free alternative for risk-averse investors

21. A model for optimizing the selection of securities is the model. **SM**
a) Miller-Orr
b) Black-Sholes
c) Markowitz
d) Gordon

22. An investor has limited funds to invest. The following information of four securities is given below:

Particle	Security A	Security B	Security C	Security D
Standard Deviation	10%	15%	11%	12%
Average Return	12%	20%	17%	15%

The best security to invest in if he wants more safety in relation to the return will be: **Dec 2021 SM**
a) Security D
b) Security C
c) Security A
d) Security B

23. In a recent year, a portfolio manager earned a return of 9.5% by making the following investments:

	Weight	Rates of Return
Bonds	0.30	6%
Stocks	0.70	11%

The relevant data for the bogey are as follows:

	Weight	Rates of Return
Bonds (Bond Index)	0.20	5%
Stocks (Nifty)	0.80	10%

The total excess return for the managed portfolio was and the contribution of security selection within asset classes to the total excess return was . **SM**
a) 1.5% and 0%
b) 0.5% and 1.0%
c) - 0.5% and 0%
d) 0.5% and 1%

24. With respect to the capital asset pricing model, the primary determinant of expected return of an individual asset is the: **SM**
a) Asset's beta.
b) Market risk premium.
c) Asset's standard deviation.
d) None

25. You are given the following information: required rate of return on risk free security 7%; required rate of return on market portfolio of investment 12%; beta of the firm 1.7. The cost of equity capital as per CAPM approach is **June 2017, SM**
a) 16.3%20.5
b) 18.0%



c) 18.60% d) 19%

26. With respect to the capital asset pricing model, which of the following values of beta for an asset is most likely to have an expected return for the asset that is less than the risk-free rate? **SM**

a) 20.5. b) 0.0. c) 0.5. d) None

27. Project X is to be financed by 40% debt (with zero beta) and balance with equity (with 1.3 beta). If the risk free rate is 13% and return on market portfolio is 22%, the return from the project will be **Dec 2019, SM**

a) 13.07% b) 13.70% c) 24.70% d) 20.02%

28. A project had an equity beta of 1.4 and is to be financed by a combination of 25% Debt and 75% Equity. Assume Debt Beta as zero, Rf = 12% and Rm = 18%. Hence, the required rate of return of the project is **June 2018, SM**

a) 16.72% b) 18.30% c) 17.45% d) 12.00%

29. An investor invested 40% of her money in Stock A and 60% in Stock B. Stock A has a beta of 1.2 and Stock B has a beta of 1.6. If the risk-free rate is 5% and the expected return on the market is 12%, the expected return of the investor would be the following under Capital Asset Pricing Model: **Dec 2021, SM**

a) 10.08% b) 15.08% c) 14.80% d) 21.80%

30. Assume that both A and B are well diversified portfolios and the risk free rate is 8%

Portfolio	Expected return (%)	Beta
A	16	1.00
B	12	0.25

In this situation you would conclude that portfolios A and B. **SM**

a) Are in equilibrium? c) Are both underpriced?
b) Offer an arbitrage opportunity? d) Are both fairly priced?

31. Rate of inflation = 5.1%, β = 0.85, Risk premium = 2.295%, Market return = 12%. The real rate of return will be ACB **Dec 2018, SM**

a) 4.2% b) 11.70% c) 6% d) 5.95%

32. Consider the information given below:
Rate of inflation = 5.1%
Beta = 0.85
Real rate of return = 4.2%
And market return = 12.6%
The risk premium for the above security will be- **SM**

a) 2.5% b) 2.65% c) 2.805% d) 2.95%

33. The value of beta of a security does not depend on **SM**



a) standard deviation of the security
b) standard deviation of the market
c) correlation between the security and the market
d) risk free rate

34. Market risk is best measured by the . **SM**
a) Alpha
b) Beta
c) Standard deviation
d) Coefficient of variation

35. The risk of the whole market as measured by beta is **SM**
a) 1
b) 0
c) -1
d) Greater than

36. With respect to capital market theory, the average beta of all assets in the market is: **SM**
a) Less than 1.0.
b) Equal to 1.0.
c) Greater than 1.0.
d) None

37. With respect to the pricing of risk in capital market theory, which of the following statements is most accurate? **SM**
a) All risk is priced.
b) Systematic risk is priced.
c) Non-systematic risk is priced.
d) None

38. ZONS Ltd. Shares are traded in the Stock Market. The Standard Deviations of ZONS'S Shares and the Market are 6% and 4% respectively. If the Correlation Co-efficient for the shares with the market is 0.8, what will be Beta Co-efficient of the Company's Shares based on the CAPM? **Dec 2023**
a) 0.90 b) 1.00 c) 1.20 d) 1.50

39. Covariance between a stock and a market index and the variance of the market index were found to be 33.56 and 19.15 respectively. The beta of the stock is: **SM**
a) 1.55 b) 1.75 c) 1.85 d) 2.05

40. If the covariance between the returns on a portfolio BC and returns on the market index is 25 and the variance of returns on the market index is 20, what will be the systematic risk of BC under the variance approach? **SM**
a) 1.25 b) 1.56 c) 5.45 d) 31.25

41. If the covariance between the returns on a portfolio BC and returns on the market index is 25 and the variance of returns on the market index is 20, what will be the systematic risk of BC under the variance approach? **June 2019**
a) 1.25 b) 1.56 c) 5.45 d) 31.25

42. An investor owns a stock portfolio consisting of four stocks. He invested in stock 20% in stock A; 25% in stock B; 30% in stock C and 25% in stock D. The betas of



these four portfolios are :0.9; 1.3; 1.2 and 1.7 respectively. The beta of portfolio is- **SM**

a) 1.12 b) 1.29 c) 1.45 d) 1.76

43. Mr. Pandey has formed a portfolio and the characteristics of his portfolio are given below:

Security	Cipla	Ranbaxy	Treasury bill	Index fund
Weight (Wi)	0.07	0.25	0.25	0.43
Beta (βi)	1.72	0.89	?	?

Beta of his Portfolio is **SM**

a) 0.8512
b) 0.9539
c) 0.7729
d) 1.5067

44. A firm has an asset β = 1.3, equity β = 1.5. Then, which of the following is true? **Dec 2017 SM**

a) The firm is unlevered.
b) Debt β is also 1.3.
c) The above data is not possible.
d) The firm is leveraged and the debt β is lower than the asset β.

45. The beta of equity is 1.2. The debt equity ratio of the company is 0.8. Calculate the beta of the assets of the firm. (Assume no taxes) **SM**

a) 0.95 b) 0.75 c) 0.67 d) 1.60

46. ZOMB Ltd. is entirely financed by equity shares. The equity share has a beta of 0.8. The company pays no taxes. ZOMB Ltd. now decides to buy back half of the equity shares by borrowing an equal amount. If the debt yields a Risk free return of 10% (Beta = 0), what will be the beta of the equity shares after buy back? **Dec 2025**

a) 1.60 b) 1.20 c) 0.80 d) 1.50

47. An investor owns a stock portfolio equally invested in a risk free asset and two stocks. If one of the stocks has a beta of 0.75 and the portfolio is as risky as the market, the beta of the stock in portfolio is **June 2017, SM**

a) 2.12 b) 2.25 c) 2.56 d) 2.89

48. Which model related return to a single factor? **SM**

a) Markowitz
b) Single index
c) M.M Approach
d) Traditional

49. The relevant risk for a well-diversified portfolio is . **SM**

a) Interest rate risk
b) Inflation risk
c) Business risk
d) Market risk

50. Company-specific risk is also known as . **SM**

a) Market risk
b) Systematic risk
c) Non-diversifiable risk
d) Idiosyncratic risk



51. Unsystematic risk may arise due to the following reason. **SM**

a) Change in interest rate
b) Increase in population
c) Employee strike in the company
d) Exchange rate fluctuations

52. The following is not a systematic risk. **June 2017, SM**

a) Market Risk
b) Interest Rate Risk
c) Business Risk
d) Purchasing Power Risk

53. Total risk includes **SM**

a) Systematic risk only
b) Unsystematic risk only
c) Both a and b above
d) Only diversifiable risks

54. A portfolio holding 90% of its assets in CNX Nifty stocks in proportion to their market capitalization and 10% in Treasury Bills is more sensitive to **June 2025, Dec 2019, SM**

a) Systematic Risk
b) Unsystematic Risk
c) Interest Rate Risk
d) Index Risk

55. This type of risk is avoidable through proper diversification **SM**

a) Portfolio risk
b) Systematic risk
c) Unsystematic risk
d) Total risk

56. The greater the beta, the security involved **SM**

a) Greater the unavoidable risk
b) Greater the avoidable risk
c) Less the unavoidable risk
d) Less the avoidable risk

57. Which measures the systematic or non-systematic risk of a security? **SM**

a) Beta
b) Standard deviation
c) Variance
d) Range

58. The sum of an asset's systematic variance and its non-systematic variance of returns is equal to the asset's: **SM**

a) Beta.
b) Total risk.
c) Total variance.
d) None

59. Which of the following types of risk is most likely avoided by forming a diversified portfolio? **SM**

a) Total risk.
b) Systematic risk.
c) Non-systematic risk.
d) None

60. With respect to return-generating models, the slope term of the market model is an estimate of the asset's: **SM**

a) Total risk.
b) Systematic risk.
c) Non-systematic risk.
d) None

61. Security A has a total risk of 'a' and Security B has a total risk of 'b'. a is greater than b. The following is true: **Dec 2021, SM**



a) If A has a higher systematic risk, B will have a higher unsystematic risk.
b) A has to have a higher systematic risk than B
c) A has to have at least the same amount of systematic risk as B
d) A can have a lower systematic risk than B

62. The following is true of standard deviation of returns of a portfolio under CAPM: **Dec 2021, SM**

a) Market rewards the investor in proportion to the risk taken in the form of (the standard deviation of the portfolio x(1-ρ), where ρ is the correlation coefficient between the portfolio and market returns
b) Standard deviation of the portfolio is the sum of the standard deviations of the securities in the portfolio
c) Standard deviation is a good measure to compare as it is the deviation per unit of the mean return
d) Standard deviation is greater than the systematic risk of the portfolio

63. Which one of the following is true? **Dec 2023**

a) Systematic risk can be minimized by investing in many sectors like banking. real estate and food products.
b) Government securities are free from interest rate risk.
c) The market rewards an investor in proportion to the unsystematic risk that he is willing to take.
d) Systematic risk is independent of the industry to which a security belongs.

64. Historically, when the market return changed by 10%, the return on the stock of A Ltd. changed by 16%. If the variance of the market return is 257.81, what would be the systematic risk for A Ltd.? **SM**

a) 320% b) 480% c) 660% d) 720%

65. MS. RATRI, a prospective investor has collected the following information pertaining to two securities A and B.

Particulars	Security A	Security B
Expected Return %	15	18
Standard Deviation of return %	18	22
Beta	0.90	1.40

Variance of returns on the Market Index is 225 (%)2 The correlation co-efficient between the returns on securities A and B is 0.75. The systematic Risk of a portfolio consisting of these two securities in equal proportions is **Dec 2023**



a) 24.63 (%)2
b) 125.78 (%)2
c) 297.56 (%)2
d) None of (A), (B) and (C)

66. Security Market Line (SML) shows the relationship between return on the stock and **SM**
a) Return on the market portfolio
b) Risk-free rate of return
c) Beta of the stock
d) Variance of the stock returns

67. The intercept of the Security Market Line (SML) on the y axis is **Dec 2017, Dec 2021, June 2022, Dec 2023, SM**
a) E(Rm) – Rf
b) 1/[E(Rm) - Rf]
c) Rf - E(Rm)
d) Rf

68. The Slope of the Security Marke Line (SML) denotes **Dec 2023**
a) The Risk Premium required
b) Beta of the Security
c) Market Volatality
d) The influence of the unsystematic

69. While plotting a graph with risk on X-axis and expected return on Y-axis, a line drawn with co-ordinates (0, rf) and (β, rm) is called **June 2023, June 2018, SM**
a) Security Market Line
b) Characteristic Line
c) Capital Market Line
d) CAPM Line

70. Which of the following statement(s) is / are True?
i. Fora Characteristics line, the Y-axis represents the returns for a particular security and the X-axis represents the returns for the Market Index.
ii. The SML Line is the same as the Characteristics line for an individual Security.
iii. The Slope of the SML is the Beta for the particular Security. **June 2024**
a) Only (I) above
b) Only (II) above
c) Only (III) above
d) Only (1) and (II) above

71. Beta is the slope of **SM**
a) The security market line
b) The capital market line
c) A characteristic line
d) The CAPM

72. Which of the following is on the horizontal axis of the Security Market Line? **SM**
a) Beta
b) Standard deviation
c) Expected return
d) Required return

73. The slope of the security characteristic line is an asset's: **SM**
a) Beta.
b) Excess return.
c) Risk premium.
d) None

74. The security market line's first point is riskless asset with a beta of zero and the second point on the line is beta of **SM**
a) 1
b) 1.5



c) 2.0
d) 0.5

75. Capital market line is: **SM**

a) Capital allocation line of a market portfolio
b) Capital allocation line of a risk-free asset
c) Both a and b
d) None of the above

76. The following is not a feature of Capital Market Line: **June 2017, SM**

a) There is no unsystematic risk.
b) The individual portfolio exactly replicates market portfolio in terms of risk and reward.
c) Estimates portfolio return based on market return.
d) Diversification can minimize the individual portfolio risk.

77. The capital market line, CML, is the graph of the risk and return of portfolio combinations consisting of the risk-free asset and: **SM**

a) Any risky portfolio.
b) The market portfolio.
c) The leveraged portfolio.
d) None

78. Arbitrage portfolio **SM**

a) Offers profit potential with an amount of additional investment and risk.
b) Offers profit potential without an amount of additional investment and risk.
c) Is the most diversified portfolio.
d) Is the most undiversified portfolio.

79. APT can be used in **SM**

a) Active management strategy of the portfolios.
b) Passive management strategy of the portfolios.
c) Identifying the mispriced securities
d) All of (a) and (c) above.

80. In contrast to the CAPM, arbitrage pricing theory: **June 2025,SM**

a) Requires that markets be in equilibrium
b) Uses risk premiums based on micro variables
c) Specifies the number and identifies specific factors that determine expected returns.
d) Does not require the restrictive assumptions concerning the market portfolio.

81. The feature of the general version of the arbitrage pricing theory (APT) that offers the greatest potential advantage over the simple CAPM is the: **SM**



a) Identification of anticipated changes in production, inflation, and term structure of interest rates as key factors explaining the risk return relationship.
b) Superior measurement of the risk free rate of return over historical time periods.
c) Variability of coefficients of sensitivity to the APT factors for a given asset over time.
d) Use of several factors instead of a single market-index to explain the risk-return relationship.

82. _____ step involves determining periodically how the portfolio has performed over the review period. **SM**

a) Portfolio performance evaluation
b) Portfolio revision
c) Portfolio construction
d) Performing security analysis

83. Sharpe's measure of the portfolio performance is based on **SM**

a) Systematic risk of the portfolio
b) Unsystematic risk of the portfolio
c) Total risk of the portfolio
d) Market risk of the portfolio

84. Which of the following is the more appropriate measure of portfolio performance if you have only one mutual fund in your investment portfolio? **SM**

a) Jensen measure
b) Sharpe measure
c) Treynor measure
d) Information ratio

85. Sharpe measure is best applicable when **SM**

a) Evaluating a portfolio to be mixed with a position in the passive benchmark portfolio
b) Choosing among portfolios competing as the optional risky position
c) Comparing with the desired performance based on a benchmark portfolio with actual performance
d) Ranking many portfolios that will be mixed to form the optional risky portfolio

86. Acertain mutual fund has a return of 17% with standard deviation of 3.5% and the sharpe ratio is 4. The risk free rate is **June 2019**

a) 12.5% b) 4% c) 3% d) 7.5%

87. MS RUANA, a Portfolio Manager realized an Average Annual return of 15%. The Beta of the Portfolio is 1.2 and the Standard deviation of return is 25%. The Average Annual return for the Market index was 11% and the Standard deviation of the Market returns is 20%. If the risk free rate is 4%, the Sharpe ratio for the Portfolio will be **June 2025, Dec 2024**

a) 0.16
b) 0.44
c) 0.55
d) None of the above



88. A portfolio manager realized an average annual return of 15%. The beta of the portfolio is 1.2 and the standard deviation of return is 25%. The average annual return for the market index was 11% and the standard deviation of the market returns is 20%. The risk-free rate is 4%. Calculate the Sharpe ratio for the portfolio. **SM**

a) 0.16 b) 0.44 c) 0.55 d) 0.64

89. The following information is available for a mutual fund: Return 13% Risk (S.D. i.e. σ) 16% Beta (β) 0.90 Risk Free Rate 10% Treynor's Ratio of the mutual fund is: **SM**

a) 3.85 b) 4.43 c) 3.33 d) 3.73

90. The portfolio's risk premium is 12% and the standard deviation of market and the portfolio are 4 and 3, respectively. The fund's beta value is 1.5. The Treynor index is **SM**

a) 3.0 b) 8.0 c) 4.0 d) 12

91. A portfolio manager realized an average annual return of 10%. The beta of the portfolio is 0.8 and the standard deviation of returns is 20%. The average annual return for the market index is 12% and the standard deviation of the market returns is 25%. The rf rate is 3%. Calculate the Treynor ratio. **SM**

a) 7.00 b) 8.75 c) 11.25 d) 12.50

92. The Sharpe's ratio and the Treynor's ratio of Reliance Growth Fund are 0.56 and 9.80, respectively. The correlation co-efficient between returns of the Fund and the Market-Index is 0.70. What is the standard deviation of the market index's return? **June 2025, June 2023**

a) 12.25% c) 10.62%
b) 11.14% d) Insufficient parameter

93. The Sharpe ratio and Treynor ratio of CHOLA EQUITY FUND are 0.37 and 4.16 respectively. The risk premium on the Fund is 6%. Standard deviation of the Fund's return is 11-80%. If the standard deviation of the Market Index's return is 9.56%, the Correlation Co-efficient between return of the Fund and the Market will be **Dec 2024, Dec 2022**

a) 0.90 c) 0.72
b) 0.85 d) None of the above

94. The intercept of the best fit line formed by plotting the excess returns of a manager's portfolio on the excess returns of the market is best described as Jensen's: **SM**

a) Beta. b) Ratio. c) Alpha. d) None

95. A portfolio manager realized an average annual return of 12%. The beta of the portfolio is 1.1 and the standard deviation of returns is 30%. The average annual



return for the market index is 10% and the standard deviation of the market returns is 25%. The rf is 5%. Calculate Jensen's alpha for the portfolio. **SM**

a) 0.5% b) - 0.5% c) 1.5% d) - 1.5

96. Which of the following is a valid comparison between the APT and CAPM? **SM**

a) The CAPM applies to only well-diversified portfolios.
b) The CAPM dominates the APT and econometric concerns appear to favor it
c) The APT gets us to the expected return-beta relationship without requiring many of the unrealistic assumptions of the CAPM.
d) Both theories differ on the expected return-beta relationship.

97. Which of the following statement defines an efficient market? **SM**

a) Information is fully reflected in the stock prices
b) The stock exchange is fully automated
c) The market is monitored by the regulatory authorities
d) Free entry and exit of investors

98. In a weakly efficient market, the stock price reflects **SM**

a) The company's financial performance
b) The past price of the scrip
c) The demand for the scrip
d) The past price and traded volume

99. In the strong form of efficient market **SM**

a) All available information is reflected in prices
b) All published information is reflected in prices
c) Stock price reflects past price
d) All information including insider information is reflected in prices

100. If markets are efficient, the security price provides **SM**

a) Inadequate return for taking up risk
b) Normal return for the level of risk taken
c) High return for the level of risk taken
d) Both (b) and (c)

101. A run in the stock price is **SM**

a) A sequence of either a fall or rise in stock prices
b) An uninterrupted sequence of either a rise or fall in stock prices
c) An alternate sequence of stock price and volume movements
d) A sequence of fall in price

102. The efficient market hypothesis suggests that investors should **SM**



a) Adopt an active portfolio management strategy
b) Adopt a passive portfolio management strategy
c) Use technical analysis as the basis for investment decisions
d) Use fundamental analysis as the basis for investment decisions

103. The small-firm-in-January effect refers to the phenomenon that portfolios of small-firm stocks (compared to portfolios of large firm stocks) have **SM**

a) A tendency to underperform the stock market
b) High returns in December and January
c) Abnormal positive returns, primarily in January
d) Returns in January that are positively correlated with return in December

104. In an efficient market, portfolio management: **SM**

a) Plays an important role in terms of diversification and risk management
b) Is relevant only for high tax bracket investors
c) Is relevant only in the management of bond portfolios
d) Does not require emphasis on diversification

105. Which of the following most appears to contradict the proposition that the stock market is weakly efficient? Explain. **SM**

a) Over 25% of mutual funds outer perform the market on average
b) Insiders earn abnormal trading profits
c) Every January, the stock market earns abnormal return
d) Over 50% mutual funds outperformed the market on average

106. Which of the following sources of market inefficiency would be most easily exploited? **SM**

a) A stock price drops suddenly due to a large sale by an institution
b) A stock is overpriced because traders are restricted form short sales
c) Stocks are overvalued because investors are exuberant over increased productivity in the economy
d) None of the above

107. Which of the following statements are true if the efficient market hypothesis holds? **SM**

a) It implies that future events can be forecast with perfect accuracy
b) It implies that prices reflect all available information
c) It implies that security prices change for no discernible reason
d) It implies that prices do not fluctuate



108. Which of the following would be a viable way to earn abnormally high trading profits if markets are semi strong form efficient? **SM**

a) Buy shares in companies with low P/E ratios
b) Buy shares in companies with recent above average price changes
c) Buy shares in companies with recent below average price changes
d) Buy shares in companies for which you have advance knowledge of an improvement in the management team

109. The Closing prices of the Stock of TORRENT LTD. on consecutive trading days are as under:

Days	Closing pricing (₹)
1	125.45
2	135.25
3	132.75
4	142.75
5	145.25

The Relative Strength of the stock of Torrent Ltd. is **June 2025, Dec 2022**

a) 0.9875
b) 1.0255
c) 1.0628
d) None of the above

110. The Portfolio composition of Mr. SANU is given below:

(Amount in lakh)	
Equity	120
Cash/Cash equivalents	40
Total	160

The beta of the equity portion of the Portfolio is 0.85 and the current NIFTY future is at 4261.5. The multiple attached to NIFTY future is 100. If Mr. SANU purchases 23 future contracts, his Portfolio Beta will be **Dec 2023**

a) 1.05 b) 1.12 c) 1.20 d) 1.25

111. The expected return from a portfolio is 16% and its variance of return (Risk Squard) is 285%. If the investor's tolerance is 60; the Risk penalty will be **Dec 2023**

a) 5.80% b) 4.95% c) 4.90% d) 4.75%

112. In a 100 days stochastic analysis, if the closing price is 160.50 and the 100 days low and high prices are 145.20 and 190 respectively, then stochastic (% K) will be equal to **Dec 2025, Dec 2024**

a) 34.15%
b) 30.75%
c) 22.87%
d) Insufficient information



113. Which of the following statement is / are said to be true with respect to risk penalty?

(i) Higher the risk penalty, lower the utility of the return for the investor

(ii) The risk penalty will be lower for smaller values of risk tolerance and higher values of variance of asset mix.

(iii)For risk loving investors, risk tolerance is high and risk penalty is low resulting in high utility **Dec 2024**

a) Only (1) of the above
b) Only (II) of the above
c) Both (1) and (II) of the above
d) Both (1) and (III) of the above

114. Which one of the following is not a part of Market Risk and why? **June 2023**

a) Equity Risk
b) Inflation Risk
c) Downgrade Risk
d) None of the above

115. The expected return of a Portfolio ZON is 15%, and Variance of return is 280(%). If the investor's tolerance is 70, what will be the investor's utility? **June 24**

a) 15%
b) 11%
c) 4%
d) Insufficient information

116. Which theory believes that the investors prefer larger to smaller returns from securities? **SM**

a) Modern
b) Traditional
c) Markowitz
d) Sharpe

117. Modern portfolio theory the relationship between risk and return **SM**

a) Maximizes
b) Minimizes
c) Quantifies
d) Does not assume

118. is the variability in a security's returns resulting from fluctuations in the aggregate market. **SM**

a) Market risk
b) Inflation risk
c) Credit risk
d) Interest rate risk

119. Risk is the possibility that borrowers repay debt ahead of schedule. **SM**

a) Liquidity
b) Inflation
c) Prepayment
d) Investment

120. Which of the following is not a common risk factor? **SM**

a) Market Risk
b) Promotional Risk
c) Interest Rate Risk
d) Inflation Risk

121. Which of the following securities is most liquid? **June 2019,SM**

a) Money Market instruments
b) Capital Market instruments
c) Gilt-edged securities
d) Index futures



122. If the RBI intends to reduce the supply of money as part of anti-inflation policy, it might **SM**

a) Lower the bank rate
b) Increase the Cash Reserve Ration
c) Decrease the SLR
d) Buy Government securities in the open market.

123. Which of the following investment avenues has the least risk associated with it? **SM**

a) Corporate Fixed Deposits
b) Deposits in commercial banks
c) Public Provident Fund
d) Non-convertible zero coupon bonds

124. A buy signal provided by moving average analysis of stock prices is when the stock price line **SM**

a) rises above a falling moving average line
b) falls below a flattening moving average line.
c) falls below a falling moving average line
d) falls below a rising moving average line

125. Residual analysis is a test of **SM**

a) Weak-form of market efficiency
b) Semi-strong form of market efficiency
c) Strong form of market efficiency
d) Super-strong form of market efficiency

126. The beta of stock of A Ltd. is 2.00 and is currently in equilibrium. The required rate of return on the stock is 12% and expected return on the stock is 10%. Suddenly, due to change in the economic conditions, the expected return on the market increases to 12%. Other things remaining the same, what would be new required rate of return on the stock? **SM**

a) 15.0% b) 16.0% c) 20.0% d) 22.5%

127. The expected return of a portfolio SOX is 17 % and variance of return and investor's utility are 300 (%²) and 12% respectively. What will be the investor's risk tolerance? **June 2025**

a) 70
b) 60
c) 58
d) None of the above



Answers

1	2	3	4	5	6	7	8	9	10
b	a	b	c	d	b	c	c	d	c
11	12	13	14	15	16	17	18	19	20
b	b	b	c	a	b	b	b	a	a
21	22	23	24	25	26	27	28	29	30
c	b	b	a	a	a	d	b	b	b
31	32	33	34	35	36	37	38	39	40
a	c	d	b	a	b	b	c	b	a
41	42	43	44	45	46	47	48	49	50
d	b	c	d	c	a	b	b	d	c
51	52	53	54	55	56	57	58	59	60
c	c	c	a	c	a	a	c	c	b
61	62	63	64	65	66	67	68	69	70
d	d	d	c	c	c	d	a	a	a
71	72	73	74	75	76	77	78	79	80
a	a	a	a	c	d	b	b	d	d
81	82	83	84	85	86	87	88	89	90
d	a	c	b	b	c	b	b	c	b
91	92	93	94	95	96	97	98	99	100
b	a	b	c	b	c	a	d	d	b
101	102	103	104	105	106	107	108	109	110
b	b	c	a	c	a	b	d	c	d
111	112	113	114	115	116	117	118	119	120
d	a	d	c	b	a	c	a	c	b
121	122	123	124	125	126	127			
c	b	c	c	b	b	b			



MCQ

1. The important role while establishing the mutual fund scheme is played by the **SM**
   a) AMC
   b) Trustees
   c) Sponsors
   d) Custodian

2. Settlement are done at the instance of the **SM**
   a) Custodian
   b) AMC
   c) Trustees
   d) Sponsors

3. The functions of the trustees is/are **SM**
   a) Marketing the mutual fund schemes
   b) To seek the RBI approval in case the scheme is open for NRIs
   c) Submitting compliance reports to SEBI
   d) All of the above

4. The function(s) of AMC is/are **SM**
   a) Taking investment decisions and committing the funds in the primary/secondary market
   b) Maintaining the records and necessary information systems
   c) Inform the trustees of the latest happenings and decisions
   d) All of the above

5. Balanced funds have the following characteristics **SM**
   a) They consist of equity and bonds in equal proportion
   b) They have moderate risk component
   c) They have above average growth potential
   d) None of the above

6. Following is/are the advantages of investing in mutual funds **SM**
   a) Diversified investment
   b) Professional management
   c) Tax benefits
   d) All of (a), (b) and (c)

7. Which of the following benefits is not usually conferred by mutual funds? **SM**
   a) Diversified investment portfolio
   b) Professional stock selection and asset management
   c) Tax benefits
   d) Assured returns

8. Which of the following is not an advantage of mutual funds? **SM**
   a) Expertise in selection and timing of investment
   b) Economies of scale and lower transaction costs
   c) Reinvestment of dividend income possible
   d) Limited investment opportunities and hence no need for the investor to have knowledge on investment management



9. The mutual funds are likely to perform better in the market than a small investor because they **SM**

a) Depend on the technical analysis tools and have the expertise to use them
b) Depend on the fundamental analysis which ensures the long-term performance of the fund
c) Have access to better information, ability and infrastructure to utilize it
d) None of the above

10. Identify the statement that applies to open-end mutual funds **SM**

a) They do not redeem or issue shares
b) Shares of such funds are traded on organized exchanges
c) Their price can't fall below the NAV
d) Exit from such funds involves selling shares to other investors.

11. Which of the following is an advantage to investors of exchange traded funds (ETFs) that is not available to investors in open-end mutual funds? **SM**

a) ETFs allow investors to invest in broad market indexes as well as international indexes
b) Investors can avoid incurring an expense in the form of a bid ask spread by purchasing an ETF rather than investing in an open-end mutual fund
c) ETFs offer a potential tax advantage to investors who incur capital gains taxes only when they sell ETF shares
d) ETF prices cannot deviate from net asset value

12. For a scheme to be defined as an equal fund, it must have a minimum **SM**

a) 65% in Indian equities
b) 65% in equities
c) 51% Indian equities
d) 35% in Indian equities

13. If a scheme has 45 Cr units issued and has an FV of ₹10 and NAV is at 11.33, unit capital (₹ in Cr) would be equal to **SM**

a) 500.85 b) 50.85 c) 950.85 d) 450

14. A closed-end fund has a portfolio currently worth ₹350 million. The fund has liabilities of ₹5 million and 17 million units outstanding. What is the net asset value of the fund? **SM**

a) ₹20.28 b) ₹20.29 c) ₹20.59 d) ₹29.17

15. Consider the following parameters of JMB Mutual Fund (Income Plan): (In Lakh)

Value of Investments	4169.04
Receivables	325.76
Accrued Income	95.48
Other Current Assets	962.68



Liabilities	977.12
Accrued Expenses	225.84
Number of units outstanding	300 Lakh
Entry Load (%)	3%

Mr. KUAS wants to purchase units of this scheme. The per unit price he will pay would be **Dec 2024**

a) ₹ 15.10
b) 14.95
c) 14.50
d) None of the above

16. If opening units 10,000 Units subscribe 3000, Units redeem 1000 then Closing units? **SM**

a) 10,000 units
b) 13,000 units
c) 12,000 units
d) 14,000 units

17. If opening units 1,25,000 Units subscribe 2,00,000, Units redeem 50,000 then Closing units? **SM**

a) 3,25,000 units
b) 2,75,000 units
c) 3,75,000 units
d) 2,50,000 units

18. Which among the following increases the NAV of a mutual fund scheme? **SM**

a) Value of investments
b) Receivables
c) Accrued income
d) All of (a), (b) and (c)

19. How much money would you need to purchase 400 shares of a mutual fund with a NAV of ₹ 55 per share and a 3% load? **SM**

a) ₹22,000 b) ₹21,450 c) ₹23,200 d) ₹22,660

20. A mutual fund has a beginning balance of 100 million earns interest of 10 million, receives dividends of 15 million, and has expenses of 5 million. If 10 million shares are outstanding, what is the NAV? **SM**

a) 10.50 b) 11.00 c) 12.00 d) 12.50

21. The following information is extracted from MF, a mutual fund scheme. NAV on 01-11-2019 is ₹ 65.78, annualized return is 15%. Distributions of income and capital gains were ₹ 0.50 and ₹ 0.30 per unit in the month. What is the NAV on 30-11-2019? **Dec 2019**

a) ₹ 67.50 b) ₹ 66.14 c) ₹ 65.80 d) ₹ 66.96

22. MS. MOU invested₹ 50,000 in a mutual fund scheme - SX on 01.04.2022. The capital gain and dividend for the year ₹3 per unit which were reinvested at the year end (31.03.2023) NAV of ₹25. Mou had total units of 2,800 as on 31.03.2023. What was the NAV as on 01.04.20222. **Dec 2023**

a) ₹10
b) ₹15
c) ₹20
d) None of the above



23. SMO Mutual Fund has a NAV of 8.60 at the beginning of the year. Meanwhile Fund distributes 0.80 as dividend and 0.70 as capital gains. If the Fund's return during the year is 26.16%, at the end of year NAV will increase to **June 2023**

a) ₹9.10 c) 9.40

b) 9.35 d) None of the above

24. The following information is extracted from MF, a mutual fund scheme. NAV on 01-11-2019 is ₹ 65.78, annualized return is 15%. Distributions of income and capital gains were ₹ 0.50 and ₹ 0.30 per unit in the month. What is the NAV on 30-11-2019? **SM**

a) ₹ 67.50 b) ₹ 66.14 c) ₹ 65.80 d) ₹ 66.96

25. Ms. RUDRA on 1st August, 2023 during initial offer of AB Mutual Fund, invested in 10000 units having face value of 10 for each unit. On 31st March, 2024, dividend declared and given by AB Mutual Fund was 10%, and Ms. RUDRA found that her annualized yield was 150%. What is the NAV as on 31.03.2024? **June 2024**

a) 21 c) 15

b) 19 d) None of the above

26. The following particulars relate to a mutual fund scheme:

Sector	Investment in shares (at cost) ₹lakh	Index on Purchase date	Index on Valuation date
IT and ITES	28	1,750	2,950
Infrastructure	15	1,375	2,475

The outstanding number of units is 1.25 lakhs. What will be the Net Asset Value (NAV) per unit? **Dec 2023**

a) 59-36 b) ₹55-30 c) 54-31 d) ₹53-29

27. You invested 1,000 in a mutual fund with a 4% load when NAV was 20 per share. If you sell your shares at a NAV of 20 per share, what is the return of your investment? **SM**

a) 14.8% b) 15.2% c) 12.5% d) 10.8%

28. The market price (ex-dividend) of a unit of an open-ended mutual fund scheme was ₹30 at the beginning of the year. A dividend of ₹3 has been paid during the year. The price of the unit is ₹35 at the year end. The rate of return of the past year of the unit is **Dec 2021, SM**

a) 24.32% b) 26.67% c) 25.52% d) 28.56%

29. An investor has invested in a mutual fund when the NAV was Rs. 15.50 per unit. After 90 days the NAV was Rs. 14.45 per unit. During the period the investor got a cash dividend of Rs. 1.35 per unit and capital gain distribution of Re. 0.20. The annualized return based on 360 days year count will be **Dec 2018, SM**

a) 3.23% b) 12.92% c) 0.8075% d) 16.45%



30. MS BRISTI is considering an investment in a Mutual Fund with a 2% load. As another alternative, she can also invest in a Bank Deposit paying 8% interest. Her investment planning period is 4 years. Examine, what should be the annual rate of return on Mutual Fund so that she prefers the investment in the Fund to the investment in Bank Deposit. **June 2023**

a) 8.15%
b) 8.55%
c) 8.82%
d) None of the above

31. On average, actively managed mutual funds have an expenses ratio of about **SM**

a) 1.5%
b) 2.5%
c) 3%
d) 5%.

32. If a mutual fund NAV is 50 and its expense ratio is 2% what are the total expenses per share? **SM**

a) 2
b) 10
c) 1
d) 5

33. A scheme has average weekly net assets of ₹ 324 Cr and has annual expenses of ₹ 3.24Cr, it's expenses ratio is **SM**

a) 1%
b) 10%
c) Can't say
d) Insufficient information

34. A mutual fund had average daily assets of ₹500 million in the past year. During the year, the fund sold ₹60 million of stock X and purchased ₹90 million of stock Y. What was the fund's turnover ratio? **SM**

a) 12%
b) 15%
c) 18%
d) 30%.

35. B can earn a return of 18% by investing in equity shares on his own. Now he is considering a recently announced equity based Mutual Fund Scheme in which initial expenses are 1% and annual recurring expenses are 2%. How much should be Mutual Fund earn to provide B, a return of 18%? **June 2019, SM**

a) 18.18%
b) 20.18%
c) 22.18%
d) 21%

Answers

1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
c	b	d	d	b	d	d	d	c	d	b	b	d	b	b
16	**17**	**18**	**19**	**20**	**21**	**22**	**23**	**24**	**25**	**26**	**27**	**28**	**29**	**30**
c	b	d	d	b	c	c	b	c	b	a	b	b	b	b
31	**32**	**33**	**34**	**35**										
a	c	a	a	b										



MCQ

1. A buyer of forward contract will make profit if **SM**
   a) Future price is lower than the forward price
   b) Future price is higher than the forward price
   c) Future price is equal to the forward price
   d) Both (A) and (C) of the above

2. Which of the following is/are underlying instrument(s) in a Forward Rate Agreement? **SM**
   a) Interest rate
   b) Exchange rate
   c) Inflation rate
   d) Both (a) and (c) of the above

3. A 6-month forward contract on a non-dividend paying stock when the stock price is ₹ 60 and the riskfree interest rate (with continuous compounding) is 12% p.a. What is the forward price? [Given e0.06 = 1.0618] **SM**
   a) ₹ 61.86 b) ₹ 62.23 c) ₹ 64.23 d) ₹ 65.27

4. The Stock of ANOS Ltd. (FV₹10) quotes ₹ 500 on NSE and the 3 months future price quotes at 510. The borrowing rate is given as 15% p.a. What would be the theoretical price of 3 months ANOS Ltd. future if the expected annual dividend yield is 25% p.a. payable before expiry? **Dec 2023**
   a) ₹540.50
   b) ₹516.25
   c) ₹510.50
   d) Insufficient data

5. If the share of BA Ltd. (F. V. ₹10) quotes ₹920 on NSE, and the 3 months futures price quotes at ₹950, and the borrowing rate is given as 8% and the expected annual dividend yield is 15% p.a. payable before expiry, then the price of 3-month BA Ltd. futures would be **SM**
   a) ₹948.40 b) ₹939.90 c) ₹938.50 d) ₹936.90

6. A stock index currently stands at 7000. The risk free interest rate is 8% p.a. continuously compounded and the dividend yield on the index is 4% p.a. What should be the futures price for a four month contract? [Given e(.08-.04)4/12 = 1.013423] **SM**
   a) 7093.96s
   b) 7097.34
   c) 7098.68
   d) 7099.25

7. The market in which the futures price is greater than the spot price is referred to as **SM**
   a) Basis
   b) Contango
   c) Backwardation
   d) Reverse Cash and carry arbitrage market

8. Backwardation occurs when **SM**



a) Current spot price = futures price
b) Current spot price < futures
c) Futures price < current spot price
d) Futures price > current spot price

9. Maintenance margins deposited by an investor in a futures contract is **SM**
a) Greater than or equal to the initial margin
b) Less than or equal to the initial margin
c) Greater than the initial margin
d) Less than the initial margin

10. An investor bought 2,000 shares of X Ltd. for ₹ 90 per share. The initial margin is 50%. The maintenance margin is 40%. If the stock price decreases to ₹ 70 per share. The additional funds put by the investors to his margin account is – **SM**
a) ₹ 20,000
b) ₹ 20,500
c) ₹ 21,000
d) ₹ 22,000

11. A mutual fund wants to hedge its portfolio of shares worth ₹ 10 crore using the NIFTY Index Futures. The contract size is 100 times the index. The index is currently quoted at 6840. The Beta of the portfolio is 0.8. The beta of the index may be taken as 1. What is the number of contracts to be traded? **Dec 2017**
a) 110 b) 116 c) 145 d) 123

12. A wants to hedge its portfolio of shares worth ₹ 150 million using the Index futures. The contract size is 100 times the index. The index is currently quoted at 7500. The beta of the portfolio is 0.9. Consider the beta of the index as 1. The number of contracts to be traded is **Dec 2019, SM**
a) 18000 b) 180 c) 22 d) 200

13. EYAN Ltd. (EL) has a Beta of 0.80 with BSE 300. Each BSE 300 Futures contract is worth 100 units. BINUA Anticipates a bearish market for the next three months and has gone short on Shares of 25000 Shares of EL in the Spot Market. EL shares are traded at 100. 3 months' Future BSE 300 is quoted at 15500. What are the numbers of BSE 300 Futures contract to be taken by BINUA if she wants to hedge price risk to the extent of 125%? **Dec 2023**
a) 300 b) 250 c) 240 d) 200

14. Mr. KITAN, a Portfolio Manager managing a Portfolio (Beta 1.80) whose current Market Value of 1500 Lakh. It is expected that the markets are likely to correct downwards and hedging needs to be adopted using NIFTY Index futures. Currently Index futures are quoted at 9000 with each Contract underlies 200 units. Mr. Kitan hedged 100% of his Portfolios. What is the number of NIFTY Index Contracts to be sold? **Dec 2024**
a) 200 b) 180 c) 160 d) 150



15. MR. PATOB, a Portfolio Manager managing a Portfolio (Beta 1-50) whose current market value of 12 crore. It is expected that the markets are likely to correct downwards and hedging needs to be adopted using NIFTY Index futures. Currently Index futures are quoted at 8000 with each contract underlies 100 units. Mr. PATOB hedges 100% of his Portfolios. What is the number of NIFTY Index contracts to be sold? **June23**

a) 180 contracts
b) 200 contracts
c) 225 contracts
d) None of the above

16. Mr. Shan a trader, is having in its portfolio shares worth 85 lakh at current price and cash 15 lakh. The beta of share portfolio is 1.6. After 3 months the price of shares dropped by 3.20%. If the trader on current date goes for long position on 100 lakh Nifty Future, what is the value of Market Index after 3 months? **June 2023**

a) 95 lakh
b) 96 lakh
c) 98 lakh
d) None of the above

17. MR. KAYON a Portfolio Manager managing a Portfolio XB whose current Market value of 1,800 Lakh. It is expected that the market are likely to correct downwards and hedging needs to be adopted using NIFTY Index futures. Currently Index futures are quoted at 8000 with each contract underlines 200 units. MR. KAYON hedges 100% of his Portfolios. If the number of NIFTY Index contracts to be sold is 180, what will be the Portfolio Beta? **June 24**

a) 1.60
b) 1.50
c) 1.20
d) None of the above

18. You are given the following information of a stock: Strike Price ₹ 400
Current stock price ₹ 370
Risk free rate of interest 5%
Theoretical minimum price of a European 6 months' put option after six months is **June 2019, SM**

a) ₹ 9.37
b) ₹ 20.12
c) ₹ 30.76
d) ₹ 20.63

19. When the spot price decreases, the value of a call option **Dec 2021, SM**

a) is equal to its premium
b) decreases
c) increases
d) does not change

20. A stock is currently selling at Rs. 270. The call option to buy the stock at Rs. 265 costs Rs. 12. What is the Time Value of the option? **Dec 2018, SM**

a) Rs. 5
b) Rs. 17
c) Rs. 7
d) None of (A), (B) or (C)



21. The spot Value of Nifty is 4430. An investor bought a one month Nifty 4410 call option for a premium of ₹ 12. The option is: **June 2019, SM**

a) In the money
b) At the money
c) Out of the money
d) Insufficient data

22. The spot value of NIFTY is 6430. An investor bought a two month NIFTY for 6410 call option for a premium of ₹ 24. The option is **SM**

a) In the money
b) At the money
c) Out of the money
d) Insufficient data

23. An investor is bullish about X Ltd. which trades in the spot market at ₹ 1,150. He buys two call option contracts with three months (one contract is 100 shares) with a strike price of ₹ 1,195 at a premium of ₹ 35 per share. Three months later, the share is selling at ₹ 1,240. Net profit/loss of the investor on the position will be June 2018, **SM**

a) ₹ 1,000
b) ₹ 16,000
c) ₹ 11,000
d) ₹ 2,000

24. M buys a call option contract for a premium of Rs. 200. The exercise price is RS. 25 and the current market price of the share is Rs. 22. If the share price after three months reaches Rs. 30, what is the profit made by M on exercising the option? A contract is for 100 shares. Ignore transaction charges. **Dec 2018, SM**

a) Rs. 200
b) Rs. 300
c) Rs. 100
d) Rs. 600

25. MR. KKM, an investor buys a call option contract for a premium of 150. The 42. If the exercise price is 45 and the current market price of the share is share price after three months reaches 50, what is the profit made by the option holder on exercising the option? Contract is for 100 shares. Ignore the transaction charges. **June 2024**

a) ₹450 b) ₹350 c) 375 d) ₹400

26. Consider a Bullish Spread Option Strategy using a call option on the stock of CNC Oil with ₹ 220 exercise price priced at ₹ 24 and a call option with ₹ 280 exercise price priced at ₹ 14. The current market price of stock of CNC Oil is ₹ 248. If the price of the stock is ₹ 360 on maturity, the new profit at expiration will be _____. **Dec 2025, Dec 2022**

a) ₹ 70
b) ₹ 60
c) ₹ 50
d) None of the above

27. A call option at a strike price of ₹ 200 is selling at a premium of ₹ 24. At what share price on maturity will it break-even for the buyer of the option? **Dec 2017, SM**

a) ₹ 200 b) ₹ 176 c) ₹ 224 d) ₹ 248



28. An investor purchases a July Call Option of X Ltd. with a strike price of ₹ 100 for a premium of ₹ 7. Till what level the investor will not realize his profit. **SM**

a) ₹ 105 b) ₹ 107 c) ₹ 110 d) ₹ 115

29. The writer of the option is also known as a **SM**

a) Buyer of the option
b) Holder of the option
c) Seller of the option
d) Mediator of the option

30. A call option is written for a strike price of₹400, with a premium of 50. **Dec 2022**

a) The holder's maximum loss is 50
b) The holder's maximum gain is 50
c) The writer's maximum loss is 50
d) The writer's maximum gain is ₹50

31. If you sell a call option on a share with a strike price of ₹ 375, market price of ₹ 360, and a premium of ₹ 21.What is the maximum loss on expiry of this position? **SM**

a) ₹ 354
b) Unlimited
c) ₹ 396
d) None of these

32. An investor buys 100 shares of a sugar mill at ₹210 per share and at the same time writes a September 250 call at a premium of ₹20 per share. If the expiration date price is ₹280, calculate the net gain/loss. **June 2025, SM**

a) ₹20
b) ₹40
c) ₹60
d) None of the above

33. The stock of ABC Ltd. sells for ₹210. The present value of exercise price and the value of call option are ₹217.40 and ₹9.60 respectively. What is the value of put option? **SM**

a) ₹ 10 b) ₹ -10 c) ₹ 20 d) ₹ 0

34. The stock of ABC Ltd. sells for ₹210. The present value of exercise price and the value of call option are ₹217.40 and ₹9.60 respectively. What is the value of put option? **SM**

a) ₹16.50 b) ₹22.00 c) ₹17.00 d) ₹18.00

35. An investor writes a three-month put on the stock of an oil company at an exercise price of ₹275 per share at a premium of ₹34. If the expiration date price is ₹280, calculate the gain/loss of put writer. **SM**

a) ₹5
b) (-) ₹5
c) ₹34
d) None of the above

36. What should be the price of call, if value of a put ₹ 5, strike price ₹ 100, rate of interest 6% p.a. , time period -2 months? **SM**

a) ₹ 4 b) ₹ 5 c) ₹ 6 d) ₹ 7

37. Buying a call and put with the same expiry date, on the same stock with a different strike price is a **Dec 2021, Dec 2023, SM**



a) Strangle
b) Strap
c) Straddle
d) Strip

38. Buying and Selling a call and a put option with same strike prices and same expiry date is called **Dec 2023**

a) Straddle
b) Box spread
c) Strip
d) Butterfly spread

39. Buying and selling call or put option with the same strike price but different expiration dates is called **SM**

a) Long hedge
b) Short hedge
c) Horizontal option spread
d) None of the above

40. In a put-call parity, the pay-offs of buying stock can be replicated by: **SM**

a) Buying a call and buying a put option
b) Buying a call and writing a put option
c) Writing a call and buying a put option
d) Writing a call and writing a put option

41. In June, 2024 a Six Month Call on RITZ Ltd's Stock with an exercise price of 25 sold for 5. The Stock price was 20. The risk free interest rate was 5% per annum. How much would you be willing to pay for a put option on RITZ LTd's stock with same maturity and exercise price? [Given: PVIF (5%, $\frac{1}{2}$ yr.) = 0.9756] **Dec 2024, SM**

a) ₹9.39
b) ₹6.39
c) ₹2.39
d) None of the above

42. Covered Call Writing means **SM**

a) Buying a stock and a put option and writing a call option on the asset already owned
b) Buying a call option and stock and writing a put option
c) Buying a call option and writing a put option
d) Selling a call option and purchasing a stock

43. Which one of the following Greek alphabets with respect to option measures the sensitivity of options price with respect to its time to expiry ie. Time value of an option? **June 2024,June 2025**

a) Delta b) Theta c) Rho d) Vega

44. American options are those **SM**

a) Options which are traded on New York Stock Exchange
b) That can be exercised at any time during a specified period
c) That can be exercised only at the specified period
d) That can be exercised even after the specified period

45. The Current Price of ACC's stock is ₹1,010 and it is expected that price of stock may either go up to ₹1,212 or go downto₹808. If the stock price of call option of ACC's



stock is ₹1,010 and Risk-free rate is 6-5%, the probability of decrease in stock price will be **Dec 2022**

a) 0.6625 b) 0.5230 c) 0.4680 d) 0.3375

46. The current price of BCC's Stock is ₹1,515 and it is expected that price of the ₹1,818 or go down to ₹1,212. If strike price of ₹1,515 and risk-free rate is 7%, the probability stock may either go up to the call option of BCC's Stock is of decrease in stock price is **June 2024**

a) 0.4523
b) 0.3971
c) 0.325
d) None of the above

47. Presently, a company's share price is Rs. 120. After 6 months, the price will be either Rs. 150 with a probability of 0.8 or Rs. 110 with a probability of 0.2. A call option exists with an exercise price of Rs. 130. What will be the expected value of call option at maturity date? **Dec 2018, SM**

a) Rs. 20 b) Rs. 16 c) Rs. 12 d) Rs. 10

48. A company's share is currently trading at ₹ 240. After 6 months, the price will be either ₹ 250 with probability of 0.80 or ₹ 220 with probability 0.20. A European call option exists with an exercise price of ₹ 230. The expected value of call option at maturity date will be **Dec 2019, SM**

a) ₹ 10 b) ₹ 16 c) ₹ 4 d) ₹ 14

49. The current market price of an equity share of THOMAS LTD., is ₹ 500. Within a period of 3 months, the maximum and minimum price of it is expected to he₹600 and ₹300 respectively. What should be the value of a 3 months call option under "Risk Neutral" method at the strike rate of 550 if the risk free rate of interest to 8% p.a.? [Given e002 = 1.0202] **Dec 2023**

a) ₹23.34
b) ₹34.31
c) ₹43.21
d) None of the above

50. The current market price of an equity share of BANCH Ltd. is ₹ 400 and it is expected that the stock price after 3 months will be either 432 or 360. If the Risk free rate of interest be 12% p.a., what should the value of a '3 month's' Call Option under the 'Risk-neutral' method at the strike rate of 388? [Given, eam = 1.0202, e003 = 1.03045] **June2023**

a) 30.94
b) 32.15
c) 32.98
d) None of the above

51. When the trade open on 01.03.2023 the stock price of Rolex Ltd., is 250. It rises to 260. The March 2023, call option on Rolex Ltd. started at 25. It moved to 29. The Delta of call option of Rolex Ltd. would be **Dec 2023**

a) 0.50
b) 0.40
c) 0.35
d) Insufficient information



52. An option's theoretical value increases by 1.8 if the interest rate is decreased by 1%. Then 1.8 is **Dec 2024**

a) the Rho of a Call option.
b) the Rho of a Put option.
c) the Theta of a Call option.
d) incomplete parameters.

53. An option's theoretical value increases by 1.75 if the interest rate is decreased by 1%.Then, 1.75 is **Dec 2021,Dec 2022 June 2023, SM**

a) The rho of a put option
b) The rho of a call option
c) The theta of call option
d) The theta of a put option

54. Which of the following is not an assumption of Black-Scholes Model? **Dec 2021, SM**

a) The risk-free rate of interest is known
b) Options can be exercised only at expiration
c) Dividend is paid on the shares
d) No imperfection exists in writing an option

55. Plain vanilla interest rate swaps involved **June 2023, SM**

a) Fixed to fixed rate swap
b) Fixed to floating rate swap
c) Floating to floating rate swap
d) Currency swap

56. Which of the following complex financial derivatives are options having a maturity of up to three years? **Dec 2025**

a) LEAPS (Long Term Equity Anticipation Securities)
b) Baskets
c) Warrants
d) Swaptions

Answers

1	2	3	4	5	6	7	8	9	10
b	a	a	b	d	a	b	c	d	d
11	12	13	14	15	16	17	18	19	20
b	b	b	d	c	c	a	b	b	a
21	22	23	24	25	26	27	28	29	30
a	a	d	b	b	c	c	b	c	a
31	32	33	34	35	36	37	38	39	40
b	c	d	c	c	c	a	a	c	d
41	42	43	44	45	46	47	48	49	50
a	d	b	b	d	c	b	b	b	a



51	52	53	54	55	56
b	b	a	c	b	a



MCQs

1. Which one of the following types of Credit Risk, is a chance that a rating agency will lower its rating on the issuer or the probability of loss from a fall in issuers rating because of deterioration in its financial condition? **Dec 2025**

   a) Credit Spread Risk
   b) Default Risk
   c) Downgrade Risk
   d) Country Risk

2. _____ explains the relationship between inflation rate differential and the expected spot rate. **Dec 2025**

   a) Interest Rate Parity (IRP)
   b) Fisher Effect (FE)
   c) International Fisher Effect (IFE)
   d) Purchasing Power Parity (PPP)

3. Risk management is the process which includes – **SM**

   a) Risk identification
   b) Risk assessment
   c) Risk measurement
   d) All of the above

4. Which of the following is not a part of Financial Risk? **SM**

   a) Operational Risk
   b) Market Risk
   c) Credit Risk
   d) Liquidity Risk

5. Which of the following is not a part of Market Risk? **SM**

   a) Equity risk
   b) Inflation Risk
   c) Downgrade Risk
   d) Interest Rate Risk

6. Which of the following is not a part of Credit Risk? **SM**

   a) Default risk
   b) Downgrade risk
   c) Concentration risk
   d) Liquidity risk

7. Responses to risk includes – **SM**

   a) Risk avoidance
   b) Risk reduction
   c) Risk transfer
   d) All of the above

8. Indirect rate in foreign exchange market means **SM**

   a) The rate quoted with the units of home currency kept fixed.
   b) The rate quoted with the units of foreign currency kept fixed.
   c) The rate quoted in terms of a third currency.
   d) None of the above.

9. In foreign exchange markets, 'American Quotation' refers to **SM**

   a) Quotation by a US based bank
   b) Quotation in New York foreign exchange market



c) Quotation in which value of foreign currency is expressed for U.S. dollar

d) Quotation in which the value of U.S. dollar is expressed per unit of foreign currency

10. The transaction where the exchange of currencies takes place 2 days after the date of the contract is known as **SM**

a) Ready transaction
b) Value today
c) Spot transaction
d) Value tomorrow

11. The buying rate is also known as **SM**

a) Bid rate
b) Offer rate
c) Spread
d) Swap

12. Which of the following is not an assumption of perfect capital market? **SM**

a) No transaction cost.
b) No taxes.
c) Complete certainty.
d) None of the above.

13. Which of the following is a function of foreign exchange market? **SM**

a) Transfer function.
b) Credit function.
c) Hedging function.
d) All of the above

14. Which of the following is a currency derivative? **SM**

a) Currency forward.
b) Currency futures.
c) Currency swaps.
d) All of the above.

15. The firm producing and selling in domestic market may face following risk when the economy is opened **SM**

a) Transaction risk
b) Translation risk
c) Operating risk
d) Both (a) and (b) above

16. Hedging through 'currency of invoicing' results in **SM**

a) The exporter covering forex exposure
b) The importer covering forex exposure
c) Both exporter and importer covering forex exposure
d) Either exporter or importer covering forex exposure

17. Which of the following is an internal hedging technique? **SM**

a) Leading
b) Netting
c) Swap
d) Both (a) and (b) above

18. Hedge ratio is the **SM**

a) Ratio of futures to a spot position that achieves an objective such as minimizing risk
b) Ratio of spot position to futures position that achieves an objective such as minimizing risk



c) Ratio of spot position to option position that achieves an objective such as minimizing risk

d) Ratio of basis to a spot position that achieves an objective such as minimizing risk

19. Which of the following is not an appropriate hedging strategy for a likely devaluation of a currency? **SM**

a) Reduce the level of cash.

b) Tighten credit term to decrease account receivables.

c) Reduce borrowing in the currency.

d) Delay account payables.

20. Arbitrageur in a foreign exchange market **SM**

a) buys when the currency is low and sells when it is high

b) buys and sells simultaneously the currency with a view to making riskless profit

c) sells the currency when he has a receivable in future

d) buys or sells to take advantage of market imperfections

21. theory model helps to **SM**

a) Reduce risk

b) Eliminate arbitrage

c) Identify the equilibrium asset price

d) None of the above

22. The following statement is true in the context of rupee-dollar exchange rate with **ri** denoting interest rate in India and **ru** denoting interest rate in the US. **SM**

a) Rupee will be at forward discount if **ri > ru**

b) Rupee will be at forward premium if **ru > ri**

c) Rupee will be at forward premium if **ri > ru**

d) Rupee will be at par with dollar if **ri = ru**

23. The dollar is currently trading at ₹40. If Rupee depreciates by 10%, what will be the spot rate?

a) ₹0.525

b) ₹0.552

c) ₹0.0225

d) ₹0.0522

24. You are a forex dealer in India. Rates of rupee and pound in the international market are US $0.01386952 and US $1.3181401 respectively. What will be your direct quote of £ (pound) to your customer. ***(Dec 2018)***

a) Rs.54.6987

b) Rs.71.1408

c) Rs.95.0386

d) Rs.0.0105

25. MR. BUA is a forex dealer in India. Rates of Rupee and Euro in the International Market rate are US $0.0124688 and US $ 1.092694 respectively. What will be his direct quote of (€) euro to his customer? ***(Dec 2023)***

a) ₹88.91

b) ₹88.32

c) ₹87.63

d) ₹80.90



26. MR. GORG is a forex dealer in India. Rates of Rupee and Euro in the International Market are US $0.012572 and US $ 1.117294 respectively. What will be his direct quote of € (Euro) to his customers? *(Calculation upto 3 decimal points)* ***(June 2023)***

a) ₹85.925
b) ₹88.872
c) ₹89.125
d) ₹90.312

27. A Ltd., an export customer requested his banker B to purchase a bill for USD 80,000. Calculate the rate to be quoted to A Ltd. if B wants a margin of 0.08%, given that the inter bank rate is Rs./$ 71.50/10 ***(Dec 2018)***

a) Rs.71.1569
b) Rs.71.0431
c) Rs.71.5572
d) Rs.71.4428

28. LONZA Ltd., an export customer who relied on the inter bank rate of ₹/US$ 80-50/15 requested his banker to purchase a bill for US$ 10,000. What is the rate to be quoted to LONZA Ltd., if the banker wants a margin of 0.10%? *(Calculation rounded off to two decimal point)* ***(Dec 2022)***

a) ₹80.58
b) ₹80.42
c) ₹80.12
d) ₹78.90

29. BLC Ltd. a valued customer engaged in import business, is in need to remit EURO 1 million to his European exporter. The spot rate of ₹/US$ is ₹ 65.47/65.57 and that of US$/EURO is $ 0.8053/0.8057. What rate will a banker quote to BLC Ltd. if the bank's margin is 0.50%? **June 2018**

a) ₹ 53.09
b) ₹ 53.067
c) ₹ 53.01
d) ₹52.99

30. DAZON Ltd. an export customer who relied on the Inter-bank rate of /US $ 82.45/10 requested his banker to gurchase a bill US $ 90,000. What is the rate to be quoted to DAZON Ltd., if the banker wants a margin of 0.20%? **June 2023**

(Calculation up to 2 decimal points)

a) ₹81.90
b) ₹82.15
c) ₹82.29
d) ₹82.80

31. From the following quotes of a bank, determine the rate at which Yen can be purchased with Rupees.

₹/£ Sterling	75.31 – 33
£ Sterling/Dollar ($)	1.563 – 65
Dollar ($)/Yen (¥)	1.048/52 [per 100 Yen]

June 2019

a) ₹ 124.02
b) ₹ 142.02
c) ₹ 412.02
d) ₹ 214.02

32. The following various currency quotes are available:

/£104.0215/104.5505
£/$ 0.7155/0.7195
$/100 ¥ 0.8695/0.8710



The rate at which 100 ¥ can be purchased with Rupees will be **June 2023**

a) 67.37
b) 66.50
c) 65.52
d) None of the above

33. The following various currency quotes are available from a leading Indian Bank:
₹/£: ₹75.31/75.33
£/$: £0.6391/0.6398
$/¥: $0.01048/0.01052
The rate at which yen (¥) can be purchased with rupees will be **SM**

a) ₹0.5070
b) ₹1.5030
c) ₹1.7230
d) None of the above

34. Given, ₹/£ 81.31/81.33
£/$: £0.6491/0.6498
$/¥: $0.01098/0.01102
The rate at which yen (¥) can be purchased with rupees will be: **SM**

a) ₹1.5270 b) ₹1.5890 c) ₹0.5824 d) ₹0.7824

35. The following rates appear in the foreign exchange market:
How many dollars should a firm sell to get ₹ 5 crore after 2 months? **SM**

a) $105500 b) $106500 c) $107500 d) $108500

36. In September, 2021, X Ltd. assessed the March, 2022 spot rate for pound sterling at the following rates:

$/Pound	1.30	1.35	1.40	1.45	1.50
Probability	0.15	0.20	0.25	0.20	0.20

What is the expected spot rate for March, 2022? **SM**

a) $1.385 b) $1.395 c) $1.405 d) $1.415

37. If the following rates are prevailing: Euro/$: 1.1916/1.1925 and $/£: 1.42/1.47 what will be the cross rate between Euro/Pound? **Dec 2025, SM**

a) £1.6921/1.730
b) £1.7530/1.6921
c) £1.6921/1.1925
d) £1.7530/1.1916

38. Spot (Euro/Pound) = 1.6543/1.6557 Spot (Pound/NZ $) = 0.2786/0.2800 What is the % Spread on the Euro/ Pound rate? **SM**

a) 0.085% b) 0.805% c) 0.508% d) 0.058%

39. The price of a bond just before a year of maturity is $10,000. Its redemption value is $10500 at the end of the that period. Interest is $700 p.a. The Dollar appreciates by 2% during the that period. The rate of return would be---- **SM**

a) 12%
b) 12.5%
c) 13.25%
d) 14%



40. An Indian invested USD 1,00,000 in USA when the US$ was Rs. 72. The investment has appreciated by 10%, while the US$ has become stronger by 4%. The investment return in Rupees is **Dec 2021**

a) 6%
c) 14.40%
b) 5.58%
d) 9.60%

41. The spot rate of the US dollar is ₹ 65.00/USD and the four month forward rate is 65.90/USD. The annualized premium is **June 2017**

a) 4.2%
b) 5.1%
c) 6.0%
d) 6.4%

42. The 6-month forward rate for US dollar against Rupee is quoted as ₹49.50 as opposed to a spot price of ₹48.85. The forward premium on US dollar is **SM**

a) 1.50 %
c) 3.05 %
b) 3.08 %
d) None of the above

43. The spot and 3 months' forward rates of US $ in relation to Rupee (₹ /1 US $) are ₹ 75.00 / 75.35 and ₹ 74.60/75.05 respectively. What will be the annualized forward discount (with respect to ask price)? **SM**

a) 1.59%
b) 0.53%
c) 0.40%
d) 2.13%

44. The spot and 6 months forward rates of f in relation to the rupee (/£) are ₹ 77.9542 /78.1255 and 78.8550/9650 respectively. What will be annualized forward margin (Premium with respect to Ask Price)? **SM**

a) 2.31%
c) 2.15%
b) 1.80%
d) None of the above

45. The spot exchange rate is $ 0.01182/₹ and the six month forward exchange rate is $ 0.01190/₹. If the normal rate of India 6 months T-Bills is 6 % p.a., what would be the normal rate of US 6 month T-Bills? **June 2025**

a) 7.40 %
b) 6.50 %
c) 7.00 %
d) 7.80 %

46. The spot and 6 months forward rates of US dollar in relation to the rupee (₹/$) are ₹ 74.532/75.4143 and ₹ 75.1278/76.2538 respectively. What will be the annualized forward margin (with respect to Ask price)? **June 2019**

a) 2.42%
b) 1.60%
c) 2.23%
d) 2.31%

47. The spot rate is USD 1 = ₹ 75.4035/75.9848. 3 months' swap points are 0.80-0.70. The forward rates are **SM**

a) 74.7035/75.1848
c) 74.6035/75.2848
b) 75.80/75.70
d) 76.2035/76.6848

48. An Indian Company is planning to invest in USA. The annual rates of inflation are 8%in India and 3% in USA. If the spot rate is currently Rs. 73.50/1$, what spot rate can you expect after 2 years, assuming the inflation rates will remain the same over 2 years? **Dec 2021**



a) Rs. 66.85
b) Rs. 80.81
c) Rs. 70.09
d) Rs. 77.07

49. An Indian company is planning to invest in US. The US inflation rate is expected to be 3% and that of India is expected to be 8% annually. If the spot rate currently is ₹45/US $, what spot rate can you expect after 5 years? **SM**

a) ₹56.09/US $
b) ₹57.00/US $
c) ₹57.04/US $
d) ₹57.13/US $

50. The sterling is trading at $1.6400 today. Inflation U.K. is 3.8% and that in U.S.A. is 2.9%. What would be the spot rate ($/£) after 2 years? **SM**

a) $1.6117
b) $1.615
c) $1.625
d) None of the above

51. An Indian Company is planning to invest in the US. The annual rates of inflation are 8% in India and 3% in USA. If the spot rate is currently ₹60.50/$, what spot rate can you expect after 5 years, assuming the inflation rates will remain the same over 5 years? **SM**

a) ₹88.89
b) ₹54.95
c) ₹76.68
d) ₹76.10

52. An Indian Company is planning to invest in USA. The annual rates of inflation are 8% in India and 3% in USA. If the spot rate is currently ₹73.50/$, what spot rate can you expect after 2 years, assuming the inflation rates will remain the same over 2 years? **SM**

a) ₹66.85
b) ₹80.81
c) ₹70.09
d) ₹77.07

53. In July, the one year interest rate is 4% on Swiss Francs and 13% on US dollars. If the current exchange rate $Fr 1 = $0.63, what is the expected future exchange rate in one year? **SM**

a) $ 0.5561
b) $ 0.6845
c) $ 0.8542
d) $ 0.8283

54. Between 2000 and 2015, the ¥/$ exchange rate moved from ¥226.63 to ¥93.96. During the same 15 year period, the consumer price index (CPI) in Japan rose from 91.0 to 119.2 and the US CPI rose from 82.4 to 152.4. If PPP held over this period, what would the ¥/$ exchange rate have been in 2015? **SM**

a) ¥ 140.13
b) ¥ 152.15
c) ¥ 160.51
d) ¥ 180.18

55. The current spot rate for the U.S. dollar is ₹ 66. The expected inflation rate is 6.5% in India and 3% in USA. The expected rate of dollar a year hence is_ **SM**

a) ₹ 72.33
b) ₹ 72.12
c) ₹ 69.33
d) ₹ 66.89



56. The 90 day interest rate is 1.85% in USA and 1.35% in the UK and the current spot exchange rate is $ 1.6 / £. The 90-day forward rate is **Dec 2017, SM**

a) $ 1.607893
b) $ 1.901221
c) $ 1.342132
d) $ 1.652312

57. The United States Dollar is selling in India at ₹45.20. If the interest rate for a 6-months borrowing in India is 10% and the corresponding rate in USA is 4%, what would be the rate of forward premium/(discount)? **SM**

a) 5.93 %
b) 5.88 %
c) (5.17%)
d) (5.52%)

58. The foreign exchange market prices for US dollar ($) against Indian rupees (₹) are quoted as under:

	Buying	Selling
Spot	₹65.30	₹65.50
Three months' forward	₹66.35	₹67.20

Calculate the cost of the forward cover. **SM**

a) 8.15%
b) 8.17%
c) 8.20%
d) 8.22%

59. An Indian company's cost of production is ₹20/unit while its export price is $ 1/ unit. If the $ appreciates by 10% and the spot rate today is ₹40 per $, what is the impact of transaction exposure? **SM**

a) Increase in profit by ₹4 per unit.
b) Decrease in profit by ₹4 per unit.
c) No change in profit.
d) Insufficient data.

60. X imports goods from USA. X will not do the following as a hedging measure: **Dec 2021**

a) Buy call options
b) Buy currency forward
c) Buy put options
d) Buy currency futures

Answers

1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
c	d	d	a	c	d	d	a	d	c	a	d	d	d	c
16	17	18	19	20	21	22	23	24	25	26	27	28	29	30
b	d	a	c	b	c	b	c	c	c	b	b	b	a	C
31	32	33	34	35	36	37	38	39	40	41	42	43	44	45
a	c	a	c	c	c	a	a	a	c	a	d	a	c	A
46	47	48	49	50	51	52	53	54	55	56	57	58	59	60
c	c	b	b	a	c	b	b	c	d	a	b	d	a	c



MCQ

1. Which of the following is / are feature(s) of Global Depository Receipts (GDRs)? **Dec 2025**
   a) Returns
   b) Globally Marketed
   c) Both (A) and (B)
   d) Not negotiable

2. Which of the following bonds are denominated in Yen? **SM**
   a) Yankee.
   b) Samurai.
   c) Shibosai.
   d) Both (a) and (c) above.

3. _____are underwritten and have a maturity of up to one year. **SM**
   a) Note issuance facilities
   b) Medium-term notes
   c) Commercial paper
   d) ADRs

4. ____is a private arrangement between lending banks and a borrower. **SM**
   a) Club loan
   b) Multiple component facility
   c) Syndicated Euro credit
   d) All of the above

5. A Yankee bond is **SM**
   a) A dollar dominated bond issued for global market by a non-US entity
   b) A dollar denominated bond issued in the US by a non-US entity
   c) A dollar denominated bond issued by a US resident to a non-US investor
   d) A dollar denominated bond issued in US by a US resident

6. Shibosai bond is a bond **SM**
   a) Denominated in ¥ and issued outside Japan
   b) Denominated in a currency other than ¥ and issued in Japan
   c) Denominated in Japanese ¥ and issued under private placement in Japan
   d) Denominated in ¥ and issued by a overseas corporate to the public in Japan

Answers

1	2	3	4	5	6
c	b	a	a	b	c



MCQ

1. Which one of the following examples of cryptocurrencies, takes its name from an internet meme featuring a Shiba Inu Dog? **Dec 2025**
   a) Litecoin
   b) Dogecoin
   c) Bitcoin
   d) Ethereum

2. Which of the following components of Digital Infrastructure is/are a messenger(s) that process request and ensures seamless functioning of enterprise systems? **June 2025**
   a) Internet
   b) Cloud Services
   c) Data Centres and Networks
   d) API (Application Programming Interface)

3. Which of the following is/are the benefit(s) of Unified Payment Interface (UPI) to the merchants? **Dec2023**
   a) Round the clock availability
   b) Single click authentication
   c) Safer, secured and innovative
   d) In – app payments (IAP)

4. Which one of the following is not a Digital Asset? **Dec 2023**
   a) Digital Printing
   b) Website
   c) Stable Coin
   d) Fintech

5. Which one of the following Digital Assets, is a Cryptocurrency which is pegged to any reserve asset like a fiat currency, commodity or other Cryptocurrencies? **Dec 2024**
   a) Non-Fungible Token (N FT)
   b) Electronic Mail
   c) Private Cryptocurrency
   d) Stablecoin

6. Which of the following is not a potential benefit of Central Bank Digital Currencies (CBDC)? **Dec 2024**
   a) Keeping track of transactions, exact location of money
   b) Technological efficiency in storing and transacting with reduced cost
   c) Scope committing illegal activities like money laundering, tax evasion, terror financing
   d) Providing a digital record of every transaction

7. Which of the following is/are not the component of digital infrastructure and why? **June2023**
   a) APIs and Integrations
   b) Cloud Services
   c) Stablecoins
   d) Internet

8. Which one of the following Digital Financial Technologies and Technological concepts, is a type of distributed ledger which provide an order, time stamped and highly Secured record of transactions? **June 2024**
   a) Peer to peer Technology
   b) Enablers



c) Block chain
d) Big Data Analytics

9. Which of the following is/are the Component(s) of Digital Finance Ecosystem? **June 2024**

a) Digital Money
b) Digital Assets
c) Digital Liabilities
d) (A) and (B) of the above

10. Which of the following is not a component of Digital Finance Ecosystem? **SM**

a) Digital Infrastructure
b) Digital Money
c) Digital Liabilities
d) Digital Financial Services

11. NFT stands for _. **SM**

a) Non-Fungible Token
b) Non-Fuel Token
c) Non-Fractional Token
d) Non-Fundamental Token

12. Digital Finance Cube has _____ dimensions. **SM**

a) Six
b) Four
c) Three
d) Two

13. In India, all payments are regulated by _____. **SM**

a) RBI Act, 1934
b) Banking Regulation Act, 1949
c) Payment and Settlement Systems Act, 2007
d) SBI Act, 1955

14. UPI stands for __. **SM**

a) United Payment Interface
b) Unified Payment Interface
c) Unique Payment Interface
d) Utility Payment Interface

Answers

1	2	3	4	5	6	7	8	9	10	11	12	13	14
b	d	d	d	d	c	c	c	d	c	a	c	c	b

